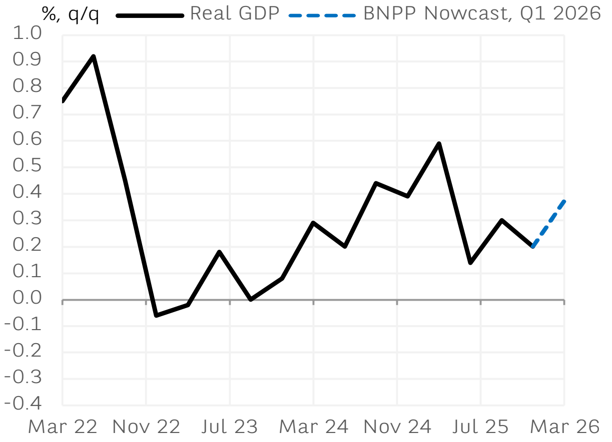
GDP Growth: Nowcasts and estimates

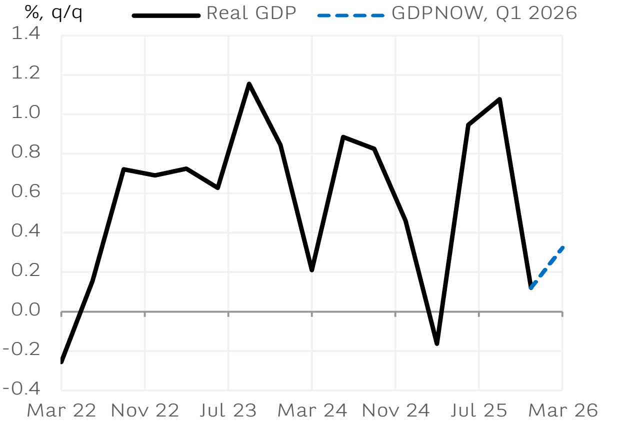
Eurozone



Sources : Refinitiv, BNP Paribas.

Our nowcast for Eurozone GDP growth indicates an acceleration in Q1 2026 (+0.4% q/q) compared with Q4 2025 (+0.3%). This is due to stronger industrial momentum, as evidenced by the improvement in the manufacturing PMI in Q1 2026.

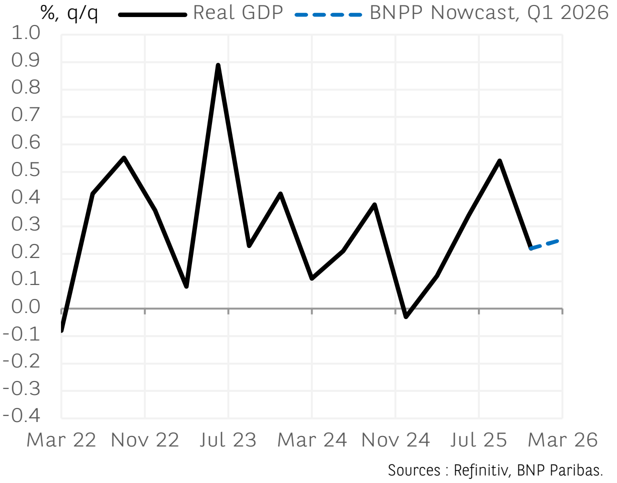
United States



Sources : Refinitiv, Atlanta Fed, BNP Paribas.

The Atlanta Fed's GDP Now indicates a modest rebound in activity in Q1 2026 (+0.3% q/q) compared with Q4 2025 (+0.1% q/q). However, the figure likely underestimates the contribution of the "Government" component, as it does not factor in the full effects of the post-shutdown rebound in October–November 2025.

France



Sources : Refinitiv, BNP Paribas.

Our nowcast for French growth suggests that the momentum seen in 2025 will continue into Q1 2026, standing at +0.3% q/q (the average level recorded since Q2 2025). This growth is driven by industry. The deterioration in household confidence in March is not expected to have an impact on Q1, but it should do so for Q2.

Anis Bensaidani, Stéphane Colliac and Guillaume Derrien (completed on 16 April 2026)

Overview: Resilient growth in the first quarter of 2026

Solid growth in Q1 2026. According to our nowcast, growth is expected to strengthen in the Eurozone (+0.4% q/q, after +0.2% in Q4) and in France (+0.3% q/q, after +0.2% in Q4), driven by a positive momentum despite the energy shock that began in March. In the United States, the rebound suggested by the GDP Now (+0.3% q/q, after +0.1% in Q4) is underestimated. This is because this indicator does not take into account the favourable post-shutdown effect (which our forecast of 0.9% q/q, non-annualised, does). In the other major Eurozone economies, growth is expected to have remained broadly stable: in Germany and Italy, the pace is expected to remain close to Q4 2025 levels (+0.3% q/q), thanks to public demand (investment and consumption). The United Kingdom is expected to see an acceleration (+0.3%, after +0.1% in Q4) due to strong production performance at the end of Q1 2026. In Japan, growth is expected to increase slightly (+0.4% q/q, compared with +0.3% in Q4). In China, it accelerated in Q1 (+1.3% q/q, compared with +1.2% in Q4). In all countries, a tendency to stockpile (before inflation accelerated) may have boosted growth for the quarter.

A risk of significantly adverse consequences from Q2 2026, though still barely noticeable. Beyond the adverse consequences linked to stockpiling in Q1, rising inflation will weigh negatively on household consumption across all economies. This factor is expected to be partially offset by robust investment (particularly in defence and AI) and public spending (despite moderate support for household purchasing power), which would avert any risk of contraction. The forecasts in this publication will be revised by the end of April in order to take into account a possible risk of more pronounced adverse consequences.

A resilient business climate but more anxious households. Business climate indicators remain broadly positive. They have not faltered despite the rise in input costs (which is still lower than the rise recorded in 2022). By contrast, household confidence is deteriorating significantly as inflation expectations rise (albeit to a lesser extent than in 2022).

Mixed financing trends but relatively unchanged support for growth. In the Eurozone, interest rates on new loans to households and businesses remained stable in February, whilst lending growth (mortgages, and consumer and business loans) was sluggish. Meanwhile, net debt-security issues were on the rise. In the United Kingdom, lending (consumer and corporate) remained buoyant whilst mortgage lending stabilised. In the United States, the rise in interest rates is expected to slow mortgage-lending growth in 2026. Consumer and corporate lending continue to rise. In Japan, lending (mortgage and corporate) continues to rise despite ongoing monetary tightening.

Lucie Barette (completed on 16 April 2026)

CONTENT

Sector	Indicator	Apr 25	May 25	Jun 25	Jul 25	Aug 25	Sep 25	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Mar 26
Global	Composite index	-0.6	-0.5	-0.6	-0.5	-0.5	-0.5	-0.3	-0.3	-0.4	-0.1	-0.2	-0.4
	Credit*												
	Interest rate on new NFC loans, %	3.8	3.7	3.6	3.5	3.5	3.5	3.5	3.5	3.6	3.6	3.5	
	Net flows of NFC loans (12-month cumulative, EUR bn)	93	88	82	93	104	106	115	119	105	118	134	
	Net NFC debt securities issuance (12-month cumulative, EUR bn)	31	52	51	64	55	56	50	66	65	79	81	
Industry	**Business Climate**												
	Composite	-1.0	-0.9	-1.1	-0.9	-0.9	-0.9	-0.6	-0.8	-0.7	-0.5	-0.5	-0.5
	Expected production	-0.8	-0.7	-0.7	-0.3	-0.4	-0.2	0.0	-0.2	-0.1	0.0	0.0	-0.1
	Order books	-1.0	-1.0	-1.2	-1.2	-1.0	-1.1	-0.9	-1.0	-0.9	-0.7	-0.7	-0.6
	Export order books	-1.3	-1.0	-1.3	-1.2	-1.4	-1.2	-0.8	-1.2	-0.9	-0.9	-0.8	-0.7
	Price expectations	0.1	-0.1	-0.3	0.0	-0.2	-0.2	-0.1	0.1	0.1	0.1	0.2	0.7
	Employment expectations	-0.6	-0.5	-0.7	-0.7	-0.6	-0.5	-0.6	-0.6	-0.5	-0.5	-0.5	-0.4
Services	**Business Climate**												
	Composite	-0.3	-0.3	-0.3	-0.2	-0.2	-0.1	-0.1	0.0	0.0	0.1	-0.1	-0.1
	Expected activity	-0.3	-0.3	-0.4	-0.2	-0.1	0.1	-0.1	0.1	0.1	0.1	0.0	-0.1
	Price expectations	0.7	0.6	0.5	0.6	0.7	0.4	0.4	0.6	0.7	0.7	0.6	0.7
	Employment expectations	-0.7	-0.7	-0.6	-0.5	-0.5	-0.7	-0.6	-0.7	-0.8	-0.6	-0.7	-0.8
Retail	**Business Climate**												
	Retail trade	-0.6	-0.3	-0.4	-0.3	-0.2	-0.4	-0.3	-0.1	-0.3	-0.2	-0.1	-0.4
	Price expectations (Food)	0.3	0.2	0.3	0.3	0.3	0.3	0.3	0.4	0.4	0.3	0.3	0.5
Construction	**Business Climate**												
	Composite	0.4	0.5	0.5	0.5	0.4	0.5	0.5	0.6	0.6	0.6	0.5	0.5
	Expected activity	0.3	0.4	0.3	0.3	0.2	0.3	0.3	0.3	0.4	0.4	0.4	0.4
	Price expectations	0.2	0.1	0.0	0.1	-0.1	0.2	0.3	0.4	0.4	0.4	0.3	0.5
	Employment expectations	0.5	0.6	0.8	0.7	0.8	0.7	0.8	1.0	0.9	0.8	0.7	0.7
	Household Confidence & Credit*												
	Housing purchases	1.3	1.3	1.3	1.2	1.2	1.2	1.4	1.4	1.4	2.8	2.8	2.8
	Interest rate on new housing loans, %	3.3	3.3	3.3	3.3	3.3	3.3	3.3	3.3	3.3	3.4	3.4	
	New housing loans (12-month cumulative, EUR bn)	815	833	851	868	879	894	907	916	930	918	920	
Consumption	**Household Confidence & Credit***												
	Composite	-0.7	-0.4	-0.5	-0.4	-0.5	-0.4	-0.3	-0.3	-0.4	-0.2	-0.2	-0.9
	Expected financial situation	-0.5	-0.2	-0.3	-0.2	-0.4	-0.1	-0.1	-0.1	-0.3	-0.1	0.0	-0.7
	Major purchases opportunity	0.3	0.5	0.2	0.6	0.6	0.9	0.8	0.6	0.5	0.8	0.7	0.4
	Price expectations	0.8	0.3	0.1	0.4	0.5	0.4	0.2	0.3	0.6	0.3	0.5	2.2
	Fears of Unemployment	-0.3	-0.4	-0.3	-0.3	-0.2	-0.3	-0.1	-0.1	-0.1	-0.1	-0.1	-0.3
	Interest rate on new consumer loans, %	7.5	7.5	7.4	7.5	7.5	7.4	7.3	7.3	7.2	7.6	7.5	
	New consumer loans (12-month cumulative, EUR bn)	299	299	298	299	298	300	301	301	303	303	304	

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Indicators are converted into z-scores, i.e. deviations from their long-term average (expressed in standard deviations). Positive (negative) values indicate that the indicator is above (below) its long-term average by a given number of standard deviations. Red shading corresponds to strong economic activity, elevated inflation expectations, and low unemployment fears, while blue indicates a slowdown in activity, moderate inflation expectations, and heightened unemployment fears.

**Credit indicators are neither standardised as z-scores nor associated with any colour coding: they are shown in levels (or as 12-month cumulative flows) and should be interpreted separately from the other indicators.*

Activity indices are holding up, but household confidence is eroding. Business sentiment indicators did not falter in March, and prospects of price rises are confined to a few sectors (oil and chemicals). The downturn is, at this stage, less pronounced in services and construction. Household confidence is deteriorating more noticeably against a backdrop of significantly rising inflation expectations and gloomier prospects for economic activity and unemployment.

Interest rates also remain stable, but lending is moderating. Interest rates on new loans to households and businesses remained stable in February. This stability came alongside a continued year-on-year slowdown in new loans to households for house purchase. New consumer loans continue to grow at a slower pace than its long-term average. On a year-to-date basis, the weaker momentum in net bank lending to businesses is being partially offset by the increase in net debt-security issues.

GDP: growth, carry-over and forecasts

OBSERVED GROWTH (q/q)			CARRY-OVER	NOWCAST	FORECAST (q/q)			ANNUAL FORECAST		
Q2 2025	Q3 2025	Q4 2025	Q4 2025	Q1 2026	Q1 2026	Q2 2026	Q3 2026	2025 (observed)	2026	2027
0.1	0.3	0.2	0.3	0.4	0.5	0.5	0.5	1.5	1.6	1.6

See the Nowcast methodology. Contact: Tarik Rharrab   Source: Refinitiv, BNP Paribas

Growth is expected to strengthen to 0.4% q/q in Q1 2026, according to our nowcast. The strong momentum in industry seen in Q1 should enable economic activity to hold up well. Thereafter, a downside risk surrounds our forecast for Q2 (due to the impact of the energy shock, particularly on the outlook for consumption in this quarter). However, these risks to growth in 2026 will be offset by the dynamism of investment in defence and AI.

Guillaume Derrien and Thomas Humblot (completed on 13 April 2026)

Germany: Momentum continues in Q1, with risk of a pull-back in Q2

		Apr 25	May 25	Jun 25	Jul 25	Aug 25	Sep 25	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Mar 26
Global	Composite index	-1.4	-1.4	-1.2	-1.2	-1.1	-1.3	-1.2	-1.3	-1.3	-1.3	-1.2	-1.5
	Credit*												
	Interest rate on new NFC loans, %	3.9	3.8	3.8	3.6	3.5	3.6	3.6	3.6	3.7	3.7	3.6	
	Net flows of NFC loans (12-month cumulative, EUR bn)	10	7	6	8	15	10	15	15	10	-3	-2	
	Net NFC debt securities issuance (12-month cumulative, EUR bn)	8	4	1	3	-2	-2	-2	2	2	4	6	
Industry	Business Climate												
	Composite	-1.6	-1.3	-1.3	-1.2	-1.2	-1.3	-1.1	-1.3	-1.3	-1.2	-1.1	-1.3
	Expected production	-0.7	-0.5	-0.9	-0.3	-1.0	-0.6	-0.4	-0.8	-0.9	-0.8	-0.5	-0.3
	Order books	-1.6	-1.5	-1.8	-1.6	-1.5	-1.8	-1.6	-1.5	-1.7	-1.5	-1.3	-1.2
	Export order books	-1.7	-1.5	-1.8	-1.6	-1.5	-1.7	-1.5	-1.4	-1.7	-1.4	-1.4	-1.3
	Price expectations	0.1	-0.3	-0.4	-0.3	-0.3	-0.5	-0.4	-0.2	-0.2	-0.2	0.0	0.5
	Employment expectations	-1.4	-1.2	-1.7	-1.5	-1.4	-1.4	-1.6	-1.7	-1.8	-1.7	-1.6	-1.5
Services	Business Climate												
	Composite	-1.2	-1.2	-0.9	-1.0	-1.0	-1.4	-1.2	-1.1	-1.3	-1.4	-1.2	-1.6
	Expected activity	-1.1	-1.0	-0.5	-0.5	-0.7	-1.1	-0.8	-0.8	-1.1	-1.1	-0.8	-1.6
	Price expectations	0.6	0.3	0.2	0.2	0.6	-0.2	0.1	0.3	0.6	0.2	0.2	0.5
	Employment expectations	-1.4	-0.9	-1.5	-1.3	-1.6	-2.2	-1.5	-2.0	-2.2	-1.4	-1.7	-1.5
Retail	Business Climate												
	Retail trade	-1.5	-0.9	-1.3	-1.6	-1.4	-1.4	-1.3	-1.6	-1.7	-1.4	-1.7	-2.0
	Price expectations (Food)	0.6	0.3	0.4	0.2	0.3	0.5	0.2	0.1	-0.1	-0.2	0.0	0.1
	Wholesale trade	-1.7	-1.3	-1.1	-1.2	-1.1	-1.3	-1.1	-1.1	-1.3	-1.2	-1.1	-1.5
Construction	Business Climate												
	Composite	-1.2	-1.0	-0.8	-0.8	-0.9	-0.8	-0.8	-0.8	-0.8	-0.8	-0.6	-0.9
	Expected activity	-1.2	-1.0	-0.9	-0.4	-0.5	-0.4	-0.4	-0.3	-0.4	-0.4	-0.2	-0.3
	Price expectations	-0.1	-0.4	-0.3	-0.1	0.0	0.0	0.0	0.1	0.1	0.1	0.4	1.0
	Employment expectations	-1.0	-0.9	-0.2	-0.2	-0.4	-0.3	-0.5	0.4	-0.2	-0.3	0.0	-0.3
	Household Confidence & Credit*												
	Housing purchases	2.5	2.5	2.5	0.7	0.7	0.7	1.2	1.2	1.2	2.5	2.5	2.5
	Interest rate on new housing loans, %	3.7	3.7	3.7	3.7	3.7	3.7	3.7	3.7	3.7	3.8	3.8	
	New housing loans (12-month cumulative, EUR bn)	220	224	227	230	232	234	236	238	241	240	240	
Consumption	Household Confidence & Credit*												
	Composite	-0.7	-0.5	-0.6	-0.5	-0.7	-0.5	-0.7	-0.9	-0.9	-0.6	-0.8	-1.2
	Expected financial situation	-0.6	-0.4	-0.4	-0.2	-0.6	-0.3	-0.7	-0.7	-1.0	-0.5	-0.5	-1.0
	Major purchases opportunity	-1.1	-1.0	-1.0	-1.1	-1.2	-1.1	-1.2	-1.0	-1.1	-1.1	-1.2	-1.4
	Price expectations	0.3	-0.1	-0.6	-0.2	0.0	0.1	0.1	0.1	0.3	-0.3	-0.1	1.7
	Fears of Unemployment	-0.9	-0.9	-0.9	-0.9	-1.0	-1.0	-1.0	-0.9	-0.9	-1.0	-1.1	-1.2
	Interest rate on new consumer loans, %	8.0	7.9	7.9	8.1	8.0	7.9	7.9	8.0	7.7	8.1	8.1	
	New consumer loans (12-month cumulative, EUR bn)	95	94	93	92	91	91	91	90	90	90	90	

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Indicators are converted into z-scores, i.e. deviations from their long-term average (expressed in standard deviations). Positive (negative) values indicate that the indicator is above (below) its long-term average by a given number of standard deviations. Red shading corresponds to strong economic activity, elevated inflation expectations, and low unemployment fears, while blue indicates a slowdown in activity, moderate inflation expectations, and heightened unemployment fears.

**Credit indicators are neither standardised as z-scores nor associated with any colour coding: they are shown in levels (or as 12-month cumulative flows) and should be interpreted separately from the other indicators.*

The energy shock has mainly resulted in precautionary behaviour on the part of firms, which increased their inventories in March. This reflects the sharp rise in input costs (which are still below their 2022 levels, however). In the short term, the build-up of corporate inventories (prior to the acceleration in inflation) has supported production. The rise in energy prices does not appear, at this stage, to have affected household spending behaviour.

Macroeconomic pressures have led to a marked slowdown in housing loans and a decline in consumer and business lending. Whilst interest rates remain stable, new loans to households for house purchase continued to slow on a year-on-year basis in February. Consumer loans continue to decline sharply. Year-on-year, net bank lending to businesses fell for the second consecutive month in February, a situation which had not been seen since 2015. This decline is only being marginally offset by the modest year-on-year rise in net debt-security issues.

GDP: growth, carry-over and forecasts

OBSERVED GROWTH (q/q)			CARRY-OVER	FORECAST (q/q)			ANNUAL FORECAST		
Q2 2025	Q3 2025	Q4 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026	2025 (observed)	2026	2027
-0.2	0.0	0.3	0.2	0.3	0.5	0.5	0.4	1.4	1.5

Source: Refinitiv, BNP Paribas

Growth is expected to reach 0.3% in Q1, as in Q4 2025. This continued momentum would once again be driven by public investment and consumption, whilst private consumption is expected to be robust in Q1 (as household purchasing intentions have not deteriorated significantly). Inventory build-up is also expected to have a positive impact, whilst import dynamics will mean that net exports will continue to contribute negatively.

Adverse consequences could be seen in Q2, with household consumption growth hampered by rising inflation. Public consumption and investment (at least public investment) would remain robust.

Lucie Barette and Thomas Humblot (completed on 13 April 2026)

France: Growth held up well in Q1

		Apr 25	May 25	Jun 25	Jul 25	Aug 25	Sep 25	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Mar 26
Global	**Composite index**	-0.1	-0.5	-0.9	-0.7	-0.7	-0.6	-0.4	-0.3	-0.4	0.3	-0.1	-0.5
	Credit*												
	Interest rate on new NFC loans, %	3.7	3.5	3.5	3.5	3.4	3.4	3.4	3.4	3.5	3.5	3.5	
	Net flows of NFC loans (12-month cumulative, EUR bn)	31	29	15	24	22	25	25	26	21	21	23	
	Net NFC debt securities issuance (12-month cumulative, EUR bn)	-6	5	9	19	19	32	31	37	34	45	44	
Industry	**Business Climate**												
	Composite	0.0	-0.6	-1.0	-0.8	-0.6	-0.6	-0.1	-0.4	-0.4	0.7	0.1	-0.4
	Expected production	0.1	-1.0	-0.9	-0.8	-0.9	0.1	0.9	0.4	0.2	0.8	0.0	-0.1
	Order books	-0.1	-0.6	-0.6	-0.3	-0.3	-0.6	0.1	-0.4	0.0	0.5	0.0	-0.2
	Export order books	-0.2	-0.3	-0.2	-0.4	-0.2	-0.2	0.9	0.0	0.6	0.7	0.5	0.0
	Price expectations	0.0	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.2	-0.3	-0.4	-0.2	0.1
	Employment expectations	0.2	0.2	0.3	0.1	0.1	0.4	0.4	0.3	0.4	0.4	0.3	0.3
Services	**Business Climate**												
	Composite	0.0	-0.4	-0.5	-0.2	-0.5	0.0	-0.2	-0.1	0.0	0.0	-0.2	-0.3
	Expected activity	0.0	-0.4	-0.8	-0.2	-0.3	0.2	-0.3	0.0	0.0	0.0	-0.4	-0.3
	Price expectations	0.5	0.4	0.2	0.6	0.8	0.4	0.5	0.4	0.5	0.6	0.3	0.3
	Employment expectations	-0.7	-1.4	-1.0	-1.0	-0.6	-0.9	-0.6	-0.3	-0.7	-0.4	-0.7	-0.6
Retail	**Business Climate**												
	Retail trade	-0.9	-0.8	-1.0	-0.4	-0.3	-1.3	-1.2	-0.6	-0.7	-0.5	-0.5	-1.0
	Price expectations (Food)	0.0	-0.1	-0.1	-0.1	0.1	0.1	-0.2	0.2	0.1	0.0	0.1	0.1
	Wholesale trade	-0.6	-0.6	-0.6	-0.3	-0.3	-0.1	-0.1	-0.1	-0.1	0.1	0.1	-0.5
Construction	**Business Climate**												
	Composite	-0.1	0.0	0.0	-0.1	-0.1	-0.1	-0.2	-0.2	-0.2	-0.2	-0.2	-0.2
	Expected activity	-0.4	0.2	-0.2	-0.4	0.1	0.1	-0.3	-0.4	-0.5	-0.4	-0.2	0.1
	Price expectations	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.2	-0.2	-0.2	-0.1	-0.1	-0.1
	Employment expectations	0.1	0.2	0.2	0.1	0.2	0.1	-0.1	-0.1	0.0	0.0	0.0	0.0
	Household Confidence & Credit*												
	Housing purchases	-0.2	-0.2	-0.2	-0.1	-0.1	-0.1	0.2	0.2	0.2	1.5	1.5	1.5
	Interest rate on new housing loans, %	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.1	3.1	
	New housing loans (12-month cumulative, EUR bn)	162	166	170	173	175	179	182	185	187	188	188	
Consumption	**Household Confidence & Credit***												
	Composite	-0.7	-0.9	-0.9	-0.7	-1.1	-1.2	-0.5	-0.5	-0.6	-0.5	-0.2	-0.8
	Expected financial situation	0.1	-0.1	-0.1	0.2	-0.4	-0.4	0.4	0.3	0.0	0.4	1.0	0.1
	Major purchases opportunity	-0.2	-0.5	-0.4	-0.3	-0.4	-0.7	-0.7	-0.7	-0.5	-0.6	-0.6	-0.6
	Price expectations	-0.6	-0.7	-0.9	-0.2	0.2	-0.1	-0.2	-0.1	0.1	0.1	-0.2	1.5
	Fears of Unemployment	-0.4	-0.8	-0.5	-0.4	-0.4	-0.4	-0.1	-0.3	-0.1	-0.2	-0.4	-0.2
	Interest rate on new consumer loans, %	6.4	6.3	6.2	6.0	6.0	6.0	6.0	6.2	6.0	6.4	6.3	
	New consumer loans (12-month cumulative, EUR bn)	73	73	72	72	72	72	72	72	72	71	71	

-3 -2 -1 0 1 2 3

Indicators are converted into z-scores, i.e. deviations from their long-term average (expressed in standard deviations). Positive (negative) values indicate that the indicator is above (below) its long-term average by a given number of standard deviations. Red shading corresponds to strong economic activity, elevated inflation expectations, and low unemployment fears, while blue indicates a slowdown in activity, moderate inflation expectations, and heightened unemployment fears.
**Credit indicators are neither standardised as z-scores nor associated with any colour coding: they are shown in levels (or as 12-month cumulative flows) and should be interpreted separately from the other indicators.*

The impact of the energy price shock has been limited so far. Expected price indices rebounded only slightly in March, across all sectors (a very different situation to 2022). For the time being, this shock does not involve any major supply constraints. Output is likely to be more severely affected by falling demand as the issue of purchasing power resurfaces. Although this is a concern for households, they have not yet scaled back their spending intentions.

Lending trends are beginning to reflect these tensions, as lending to households is slowing, whilst lending to businesses remains relatively stable. The year-on-year slowdown in new mortgage lending loans to households for house purchase accelerated in February as interest rates began to rise. New consumer loans have fallen for the eighth consecutive month, whilst interest rates remain at historically high levels. On a year-to-date basis, net flows of bank lending to businesses – driven in particular by the repayment of state-guaranteed loans – and net debt-security issues have risen only slightly since December 2025. Bank lending rates remained stable in February.

GDP: growth, carry-over and forecasts										
OBSERVED GROWTH (q/q)			CARRY-OVER	NOWCAST	FORECAST (q/q)			ANNUAL FORECAST		
Q2 2025	Q3 2025	Q4 2025	Q4 2025	Q1 2026	Q1 2026	Q2 2026	Q3 2026	2025 (actual GDP)	2026	2027
0.3	0.5	0.2	0.5	0.3	0.3	0.3	0.3	0.9	1.3	1.3

See the Nowcast methodology. Contact: Tarik Rharrab Source: Refinitiv, BNP Paribas

Growth is expected to have reached 0.3% q/q in the first quarter of 2026, according to our nowcast. This acceleration compared with Q4 2025 (0.2% q/q) indicates that demand (private, public, and export) remains strong. Furthermore, this growth is thought to have been supported by households stockpiling goods in anticipation of rising inflation.

In Q2, there is a significant likelihood of adverse consequences. Our forecasts are expected to be updated soon in order to reflect the expected impact of the energy shock. Although inflation remains relatively contained outside the energy sector, this fear persists among households. Therefore, they are likely to scale back their spending intentions, which could push GDP closer to stagnation in Q2 (contrary to the forecast of 0.3% q/q prior to the outbreak of the war in Iran).

Stéphane Colliac and Thomas Humblot (completed on 13 April 2026)

IMF SPRING MEETINGS: COMING TO TERMS WITH MULTIPLE REGIME CHANGES WITH REALISM, RESILIENCE AND REWIRING

Despite the war and energy shocks unfolding in parallel to the Meetings, finance officials, central bankers and other delegates took the situation with a poise that contrasted with the sense of shock that followed Liberation Day. Unable to predict with any degree of confidence how the war would evolve, and hence how large the economic damage would be, delegates focused more than usual on what lies beyond the near-term outlook: regime changes in geopolitics, economics and markets; how to explain and preserve recent resilience; and the multiple ongoing re-wirings of the fabric of the global economy and financial markets. Here are some personal key takeaways.

REALISM

While interactions at the IMF/WB Meetings are always, to some degree, a communication exercise, participants, this time, appeared remarkably lucid and candid about the scale of the challenges faced:

No baseline. Rather than providing its usual baseline year-ahead forecasts, the IMF acknowledged that with the future path of the ongoing war in the Middle East still highly uncertain, and hence too the size and length of the energy shock, the best that could be done was to provide different scenarios: a benign "reference" one, a mildly adverse one and recessionary one. In all scenarios, growth is revised lower and inflation higher, with net energy importers and poorer countries hit disproportionately. So far, so consensus. But Saudi Finance Minister Al-Jadaan, who chairs the International Monetary and Financial Committee, struck many by his words of warning that "*the hope is that we will see a serious, credible deescalation. And until that happens, I do not think we are on whatever base scenario*."[1]

Prudent policy responses. Against the backdrop of ever-rising public debts, the IMF and central banks cautioned fiscal authorities that any support to help handle the energy shock should be targeted, temporary and tailored (i.e., small). For central bankers, prudence meant adopting a firm wait-and-see stance, promising both vigilance and, at least in developed markets, patience. They vowed not to let inflation get out of hand again, but equally not to tighten policy unless and until they saw evidence of second round effects (e.g., in inflation expectations, wages, or prices beyond energy). Key to this posture was high uncertainty not just about the size and length of the energy shock, but also about households and firms' reaction to it in the current macroeconomic environment, very different from that of 2022.2

Geopolitical regime change: "I*nternational law is a fiction invented by the US and it is gone!*", said a US official at one Spring Meeting dinner. The return of "hard power" was another theme running through the Meetings. The war in the Middle East will not be the last manifestation of this, and many warned Greenland would return to front pages soon. Three implications were widely shared: first, the level of geopolitical risk is set to be permanently higher; second, all nations that hitherto benefited explicitly or implicitly from US military protection should move quickly to being able to defend themselves; third, China's standing as a top power comes out stronger, both in a relative and an absolute sense. And the current US administration will not directly confront it.

Economic regime change. String together the key topical economic themes discussed across various Spring Meetings panels, and regime change is undoubtedly what they add up to:

- Multiple supply constraints becoming binding in succession, gradually (e.g., electricity near data centers, labour force) or suddenly (e.g., rare earths, helium or oil);
- Inflation needing to be pushed down to target, not up;
- Investment needs exploding (infrastructure, defense, energy, AI) instead of a global savings glut, leading to a structurally higher cost of capital;
- Resilience and sovereignty competing with efficiency in corporate decisions and public policies;
- Artificial intelligence (AI) having the potential to alter the growth paths of all economies that adopt it, but also wreak havoc in their labour markets.

Persistently high uncertainty. The result of all these paradigm shifts is that unusually high uncertainty regarding the path of the economy prevails and is likely to persist. This requires fundamental changes in decision-making approaches by policymakers, entrepreneurs and investors alike to shock-proof their strategies.

RESILIENCE, UP TO A POINT

Economic resilience. Despite the multitude of shocks that have hit the global economy in recent years, growth outcomes have been solid, inflation mostly tamed, and labour markets strong but not overly so. The IMF scenarios assessing the impact of the ongoing energy shock further confirm this diagnostic. The causes? Spring Meetings delegates saw three: plentiful liquidity and easy financial conditions, fiscal accommodation, and investment booms driven by strategic needs: technological modernization (including, but not limited to AI build-up and adoption), rearmament, and supply-chain adaptation (*see below*).

Market resilience. The apparent disconnect between buoyant stock markets and economic risks was noted in nearly all conversations. Policymakers were more concerned than private sector participants, however. The latter stressed that stock markets are narrower than economies; in the US in particular, they overwhelmingly reflect the dynamism of a handful of tech firms, which is expected to continue. More generally, while few doubt the ongoing war in the Middle East will leave a long tail of economic costs, it is also possible to be more bullish about the prospects of firms benefiting from the ongoing structural transformations of the economy. Most are in the US, but not only.

1 See Press Briefing Transcript: International Monetary and Financial Committee, Spring Meetings 2026
2 We document these differences systematically here

If anything, private sector participants appeared more concerned by the limited extent to which sovereign bond markets have started pricing in fiscal risks, notably in the US.

Wearing thin? While the structural drivers of resilience are likely here to stay, financial conditions will need to reflect more hawkish central bank policies, and could be further tightened by a variety of factors: growing concerns around private credit limiting additional financing flows from this source; sudden spikes or even just a gradual increase in risk aversion, from a place where credit spreads are at all-time lows, and term premium off its lows but conceivably still too low (given the near record-high levels of public debt to GDP/ratios in most countries, and often rising).

REWIRING FOR THE NEW WORLD WE ARE IN

Shock-proofing supply chains. Prior to the war in the Middle East , the focus would have been almost exclusively on critical materials, after China's brief imposition of export controls last year revealed how manufacturers in the entire world critically depend on this chokepoint. But the disruptions triggered by the war made clear that the goal has to be defined more broadly, namely immunizing supply chains both from known chokepoints and from unknown disturbances, be they geopolitical, cyber, or nature-driven (like pandemics or climate change). Expect substantial efforts and capital to be deployed from governments and businesses alike towards diversification of suppliers (and energy sources), stockpiling, and emergence of national or regional champions in areas deemed essential for sovereignty.

AI. The topic was ubiquitous at the Meetings, with far more questions than answers at this stage. While there is general optimism about its potential to raise productivity, create new jobs and continue to generate large revenues for some, there was at least an equal amount of unease about the seismic risks posed to job markets and financial stability. The latter relates to concentration risk inthe stock markets and economies of countries at the center of the AI production chain (notably Korea and the US). In the US, the concentration risk extends also to investment grade credit markets, and private credit.

Dedollarization. Like last Spring, the theme featured prominently, but with new angles. We should expect meaningful shifts in capital flows as most Gulf countries receive lower export revenues owing to the war and will need to recycle them at home to rebuild rather than invest them abroad. Separately, consensus expects further diversification from overexposure of global investors to the US, but return-seeking capital will continue to find US markets uniquely attractive; however, concerns surrounding US Treasuries and their unreliability as risk hedges in the current environment mean that non-US assets are now needed for risk management. Europe was generally seen as attractive in that context, as well as emerging markets; within the latter group, for the first time in a long while, Latin America stood out with a combination of attractive features: relatively insulated from the ongoing energy shock, large producer of many raw materials that the world needs, credible central banks, and more market-friendly governments.

Digital Finance. These meetings confirmed, even more than the last, how far this topic has come of age, mobilizing leading central bank chiefs, regulators and finance CEOs alike. A notable evolution from the last IMF/WB Meetings was the shift from enthusiasm about stablecoins to excitement about tokenized finance at large. An emerging consensus was that if the main traditional finance actors are able to cooperate to tokenize their existing products and services and make them interoperable, as they intend to, the use cases for stablecoins will remain very limited. For many, this would be a good outcome.

Isabelle Mateos y Lago

ECONEWS

Find out more in our scenario and forecasts

WORLD

In its April World Economic Outlook, the IMF has revised downwards its global growth forecast for 2026, while maintaining the projection for 2027, based on the assumption of a 'limited and short-lived' war. In this baseline scenario, the global growth forecast for 2026 stands at 3.1% (unchanged from October 2025, but down 0.2 percentage points from January). The forecast for 2027 remains at 3.2%.

The UK has seen the sharpest downgrade among advanced economies (-0.5 percentage points for 2026 and -0.2 percentage points for 2027), ahead of the eurozone (-0.2 percentage points for both 2026 and 2027). The revision for the United States is minimal (-0.1 percentage points in 2026 but +0.1 percentage points in 2027).

In emerging and developing economies, under the baseline scenario, the average growth forecast for 2026 has been revised to 3.9% (-0.3 pp compared with January), down from the 4.4% in 2025. Growth is expected to recover to 4.2% in 2027 (+0.1 percentage points). The average revisions are modest, attributed to stronger supportive factors than initially anticipated at the start of the year (reduction in US tariffs, significant carry-over effects following a robust Q4 2025 and Q1 2026). However, the repercussions of the war in the Middle East vary widely between countries, ranging from a pronounced impact on low-income net energy-importing countries to a neutral, or even positive, impact on net energy-exporting countries. The most significant revision since January, unsurprisingly, pertains to the Middle East and North Africa region, where growth is expected to be just 1.1% in 2026. Five of the eight hydrocarbon-producing countries in the Persian Gulf are expected to see their GDP contract to varying degrees this year.

ADVANCED ECONOMIES

UNITED STATES

Tensions are mounting regarding K. Warsh's confirmation: K. Warsh's hearing before the Senate Committee on Banking, Housing, and Urban Affairs begins this Tuesday. Republican Senator T. Tillis, whose vote is essential to securing a majority, is tying his support for K. Warsh to the abandonment of proceedings against J. Powell (an attempt to search the Fed's premises has just taken place). President D. Trump is threatening to remove J. Powell (although it is uncertain whether he has the authority to do so) if Powell remains on the Board of Governors after his term as FOMC Chair expires.

A more moderate-than-expected rise in producer prices, with an unexpected increase in regional business sentiment surveys: producer prices rose by 4% y/y in March (3.4% y/y in February; consensus for April: +4.6%), driven by energy prices. The core component is stable (+3.8% y/y). Manufacturing output stagnated in March (-0.1% m/m), while existing home sales fell (-3.6% m/m). Builders are reporting a deteriorating outlook (34, -4 m/m) according to the NAHB index. The April regional surveys (Empire, Philly Fed) show clear improvements in the business climate in industry, despite a rise in the input price index. The 'prices received in 6 months' component is up in both surveys.

As expected, the Fed is slowing the expansion of its balance sheet: on 13 April, the Fed announced a reduction in its monthly net purchases of T-bills to around USD 40 billion (down from USD 55 billion since December). As it will not be reinvesting maturing MBS, its balance sheet is expected to grow by USD 25 billion each month (an increase of USD 350 billion over the year). Looking ahead to 2035, the Fed plans to continue at the same pace (expanding its portfolio by USD 350-400bn each year) in order to maintain banks' reserve holdings at 9.3% of GDP. *Coming up: retail sales (Tuesday).*

EUROPEAN UNION

Strengthening measures to bolster competitiveness : the European Parliament and the Council have agreed to halve the duty-free steel import quotas and to double the duties outside the quota (to 50%). These new rules will apply to products imported from all countries (except Iceland, Norway and Liechtenstein). They will replace the steel safeguard measure, which is due to expire in June 2026. The Commission is set to introduce new guidelines on mergers between European companies. It has also launched consultations with Member States on relaxing the temporary state aid framework, paving the way for targeted support for sectors significantly affected by the crisis in the Middle East. This new framework is expected to be adopted by the end of April. Furthermore, the Commission is expected to unveil a policy paper aimed at mitigating the impact of rising energy prices.

EUROZONE

Slight upward revision to inflation : It reached 2.6% in March (revised up by 0.1 percentage points). On a twelve-month rolling basis, the current account surplus stood at EUR 289 billion in February 2026, compared with EUR 371 billion a year earlier. *Coming up: PMI (Thursday).*

France: the government is maintaining its deficit target, while business start-ups are rising sharply. Growth has been revised downwards from 1% to 0.9% in 2026 (due to the conflict in Iran), while inflation was revised higher from 1.3% to 1.9%. The public deficit target is 5% of GDP, with the flexibility created by a lower-than-expected deficit in 2025 (5.1% compared to 5.4%) being offset by the impact of the inflationary shock on growth and debt servicing. The Banque de France projects growth of 0.3% in Q1 2026 (our nowcast arrives at the same result). Business start-ups rose by 5% q/q in Q1 2026 (following a 5% increase in 2025), driven by services, including information & communication and business support (two sectors linked to AI). Services also account for the rise in business insolvencies (+6.4% y/y in Q1 2026 according to Altares). *Coming up: INSEE business climate and PMI (Thursday), household confidence (Friday).*

Germany: acceleration in wholesale price inflation; the government announces further support measures. The rise in wholesale prices reached +4.1% year-on-year in March (+1.2% on average between December and February), driven by energy products and raw materials. To mitigate the rise in energy prices, the government has announced: 1/ a reduction in fuel taxes of EUR 0.17 per litre for two months (the cost of EUR 1.6bn will be financed by antitrust or tax measures targeting companies in the energy sector); 2/ a tax-free bonus of EUR 1,000 that companies will be able to pay to their employees (to be funded by an increase in tobacco tax). Following the EU's approval of temporary aid for electricity prices, the government plans to introduce subsidies aimed at reducing energy costs for heavy industry (€3.8bn, including €800m more than planned in November). Beneficiaries will be required to invest at least 50% of the aid received in new or modernised assets to reduce electricity grid costs without increasing fossil fuel consumption. *Coming up: producer prices (Monday), government macroeconomic forecasts (Wednesday), PMI (Thursday), Ifo business climate (Friday).*

Spain: Headline inflation was revised upwards by 0.1 percentage points to 3.4% year-on-year in March, while core inflation was revised up by 0.2 pp to 2.9% year-on-year (due to rising transport costs). *Coming up: foreign trade (Tuesday), producer prices (Friday).*

UNITED KINGDOM

Economic activity held up well in February. GDP rose by +0.5% m/m in February (+0.1% m/m in January), bolstered by services (+0.5%) and industry (+0.5%, driven by energy, in contrast to -0.1%

Find out more in our scenario and forecasts

in manufacturing). The BRC leading indicator for retail sales rose by +3.1% y/y in March (Easter fell earlier in the calendar than in 2025). *Coming up: unemployment and wages (Tuesday), inflation (Wednesday), PMI (Thursday), GfK consumer confidence and retail sales (Friday).*

EMERGING ECONOMIES

Emerging markets: Sharp contraction in portfolio investment. According to IIF estimates, outflows of non-resident portfolio investment from major emerging markets reached a record USD 70 billion in March 2026. However, South Korea and Taiwan, which should be regarded more as developed countries, accounted for three-quarters of this figure.

AFRICA & MIDDLE EAST

Saudi Arabia: No inflationary pressures despite the conflict. Inflation rose slightly in March to 1.8% y/y , up from 1.7% in February, mainly due to seasonal effects on food prices (+0.3%) linked to Ramadan. Elsewhere, the slowdown continues in the property sector (+3.9%, its lowest level since October 2022), the 'transport' component is slowing down and energy prices remain unchanged (as they are regulated). **Furthermore, the Saudi sovereign wealth fund, the PIF, has just unveiled its new strategy for 2026–2030**. Structured around three portfolios, this strategy marks a shift towards seeking greater efficiency in investments focused on domestic economic development, while maintaining an international dimension.

ASIA

China: Growth accelerated in Q1 2026 and continues to follow a 'K-shaped' trajectory. Real GDP grew by +5% y/y (and +1.3% q/q), following +4.5% in Q4 2025 (+1.2% q/q). On the one hand, exports remained buoyant (+17.4% y/y in value terms vs 5.1% in H2 2025) and supported industrial production (+6.1% y/y in real terms in Q1, following +5.0% in Q4 2025). Imports rebounded sharply (+22.4% y/y in Q1 vs +3.6% in H2 2025), due to a price effect and the significant rise in trade of electronic goods. On the other hand, domestic demand remained sluggish. Retail sales, which had rebounded in the first two months of the year, slowed again in March (+0.7% y/y in real terms), due in particular to a reduced impact from government subsidy schemes for the replacement of certain consumer goods. The contraction in property transactions (-11% y/y in Q1) and house prices (-6.3% y/y on average in the existing housing market) continued. Growth in services slowed from +5.6% y/y in Q4 2025 to +5.0% in Q1 2026. The strong Q1 GDP figures should reinforce the authorities' decision to provide moderate support for demand – particularly as China is fairly well positioned to withstand the repercussions of the war in the Gulf.

EMERGING EUROPE

Romania: Unsurprisingly, inflation rose in March (9.9% y/y vs 9.3% in February), mainly due to rising fuel prices. As measures to curb inflation are very limited (caps on retail margins, reductions in excise duties), inflation is expected to reach double figures as early as next month. The Central Bank kept its key interest rate unchanged last week and is expected to remain cautious in the coming months.

Hungary: The final vote count is complete and confirms the two-thirds majority secured by Tisza in the elections held on 12 April, with 141 seats secured out of the 199 in Parliament, exceeding initial estimates. Fidesz came second with 52 seats, while Mi Hazánk obtained 6 seats. The Hungarian President is due to officially announce the election results by early May and propose the name of the Prime Minister.

Bulgaria: The centre-left party, Progressive Bulgaria, won the general election on 19 April (the eighth election in five years). The party, led by Rumen Radev (the former president who resigned last December), won the election with 44.7% of the vote and an absolute majority in Parliament (around 130 seats out of 240), according to the latest estimates. Progressive Bulgaria campaigned on an anti-corruption platform. This is likely to be one of the future government's priorities and, in the long term, should improve the business environment. However, structural changes will take time. Furthermore, Rumen Radev's victory could signal a less pro-European stance for Bulgaria.

LATIN AMERICA

Argentina: Rising inflation. Unsurprisingly, the consumer price index increased by 3.4% m/m in March, compared with 2.9% in February and 3.7% in March 2025. Year-on-year, the inflation rate fell slightly to 32.6% from 33.1% in February. The 'petrol' category recorded one of the sharpest rises (7% m/m), but this was much lower than the rise in crude oil prices on international markets, thanks to a commitment by the oil company YPF (which accounts for half of the motor fuel market) not to raise prices until May.

COMMODITIES

The OPEC+ and IEA forecasts for global oil demand in 2026 diverge significantly. While the IEA anticipates a slight decline in 2026 (-0.08 mb/d to 104.3 mb/d), OPEC maintains its growth scenario (+1.4mb/d to 106.5 mb/d), assuming that the decline forecast for Q2 2026 will be offset by a rise in demand towards the end of the year.

According to the IEA, oil supply contracted by 10.1 mb/d in March 2026. Furthermore, for the year as a whole, the IEA forecasts an average increase in production from non-OPEC+ countries of 0.85 mb/d. For its part, OPEC forecasts an increase of 0.6 mb/d.

The spread between the spot price of Dated Brent (for immediate delivery) and the June 2026 Brent futures contract (the nearest expiry) narrowed to $8.50/bbl on 17 April (compared with $30/bbl at the start of the week). However, ongoing restrictions on maritime traffic in the Strait of Hormuz are weighing on the price of Brent for June 2026 delivery, which stands at around $96/b on Monday 20 April (+6% compared to its closing price last Friday).

Aluminium prices have reached their highest level since March 2022 (USD 3,644/MT on the LME) due to constraints affecting production in the Gulf countries, which account for 9% of global capacity (damaged facilities and the blockade of the Strait of Hormuz).

MARKETS OVERVIEW

Bond Markets

	in %	in bps			
	17/04/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.38	-16.5	+4.8	+29.3	+65.8
Bund 5Y	2.59	-12.4	+5.5	+12.3	+61.2
Bund 10Y	2.93	-8.7	+6.2	+7.0	+50.3
OAT 10Y	3.51	-12.4	-0.3	+1.0	+45.7
BTP 10Y	3.68	-15.0	+7.5	+18.5	+22.9
BONO 10Y	3.39	-12.5	+10.6	+14.4	+32.1
Treasuries 2Y	3.70	-10.3	+0.8	+22.2	-9.2
Treasuries 5Y	3.84	-10.6	+4.6	+11.1	-10.5
Treasuries 10Y	4.24	-1.2	+5.2	+7.8	+3.2
Gilt 2Y	4.12	-15.1	+7.3	+36.3	+20.1
Treasuries 5Y	4.25	-11.4	+2.5	+40.3	+20.8
Gilt 10Y	4.76	-3.9	+7.0	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	17/04/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.18	+0.7	+2.5	+0.6	+4.1
GBP/USD	1.36	+0.8	+1.7	+0.9	+2.5
USD/JPY	157.86	-0.8	-0.8	+0.7	+11.0
DXY	98.10	-0.6	-1.5	-0.2	-1.3
EUR/GBP	0.87	-0.1	+0.8	-0.3	+1.5
EUR/CHF	0.92	-0.6	+1.6	-1.1	-1.1
EUR/JPY	186.50	-0.1	+1.7	+1.3	+15.5
Oil, Brent ($/bbl)	90.80	-4.7	-12.1	+49.2	+33.6
Gold ($/ounce)	4866	+1.8	-2.6	+12.5	+47.3

Equity Indices

	Level	Change, %			
	17/04/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4650	+3.9	+6.0	+5.0	+33.9
North America					
S&P500	7126	+4.5	+6.1	+4.1	+34.9
Dow Jones	49447	+3.2	+5.2	+2.9	+26.3
Nasdaq composite	24468	+6.8	+8.8	+5.3	+50.2
Europe					
CAC 40	8425	+2.0	+5.7	+3.4	+15.6
DAX 30	24702	+3.8	+4.1	+0.9	+16.5
EuroStoxx50	6058	+2.2	+5.0	+4.6	+22.7
FTSE100	10668	+0.6	+2.5	+7.4	+28.9
Asia					
MSCI, loc.	1836	+0.4	+3.6	+8.7	+39.4
Nikkei 225	58476	+2.7	+8.9	+16.2	+70.1
Emerging					
MSCI Emerging ($)	1597	+3.2	+6.8	+13.6	+49.7
China	80	+2.6	+0.4	-2.6	+18.2
India	973	+1.7	+4.1	-8.1	-3.5
Brazil	2122	+0.3	+12.1	+28.9	+65.4

Performance by sector

Eurostoxx600

Year 2026 to 17-4, €

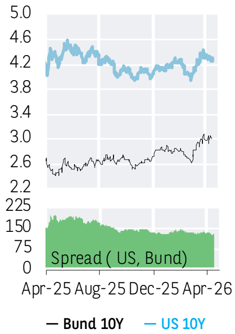
+34.3%	Oil & Gas
+19.7%	Commodities
+19.4%	Telecoms
+17.5%	Utilities
+10.7%	Chemical
+4.8%	Industry
+3.8%	**Eurostoxx600**
+2.1%	Construction
+2.1%	Banks
+1.2%	Technology
+0.6%	Food industry
+0.6%	Real Estate
-0.7%	Health
-1.5%	Insurance
-2.6%	Financial services
-3.3%	Retail
-6.9%	Travel & leisure
-12.9%	Media
-14.2%	Consumption Goods

S&P500

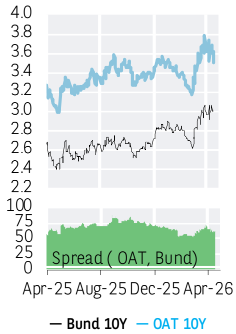
Year 2026 to 17-4, $

+22.6%	Energy
+18.6%	Semiconductors
+16.3%	Capital Goods
+14.0%	Materials
+14.0%	Retail
+9.2%	Tech. Hardware & Equip.
+8.1%	Utilities
+7.0%	Consumer Discretionary
+7.0%	Telecoms
+5.9%	Media
+4.4%	Food, Beverage & Tobacco
+4.1%	**S&P500**
+1.4%	Consumer Services
-1.3%	Bank
-1.3%	Pharmaceuticals
-3.1%	Insurance
-8.2%	Healthcare
-10.0%	Automobiles
-11.5%	Commercial & Pro. Services
-19.0%	Real Estate

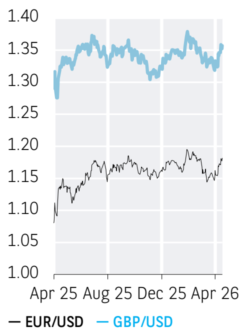
Bund 10Y & US Treas. 10Y



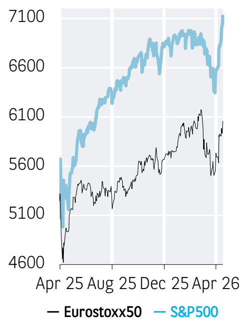
Bund 10Y & OAT 10Y



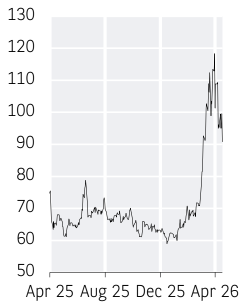
EUR/USD & GBP/USD



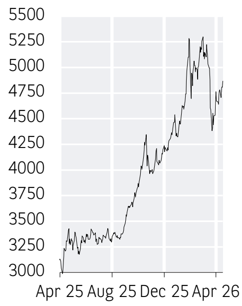
EUROSTOXX 50 & S&P500



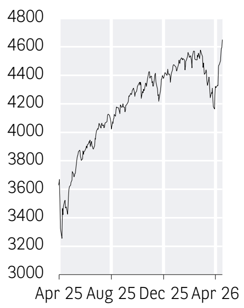
Oil, Brent ($/bbl)



Gold ($/ounce)



MSCI World ($)



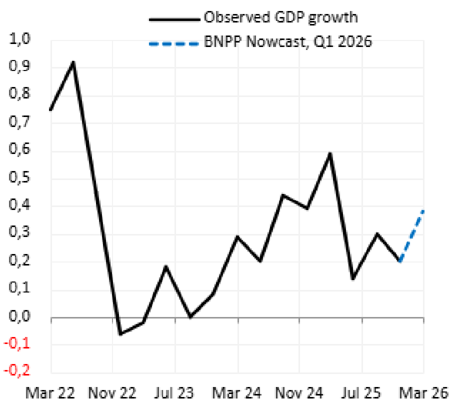
MSCI Emerging ($)

SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

The scenario, forecasts and nowcasts of the Economic Research – 20 April 2026

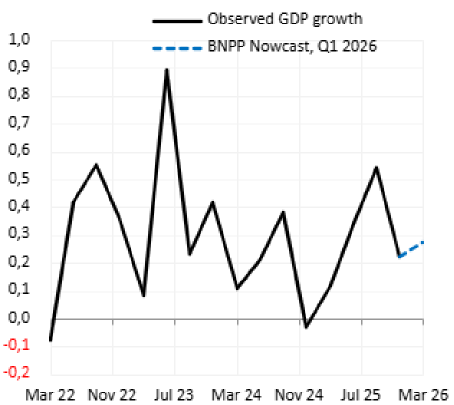
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium

Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth points to an acceleration in Q1 2026 (+0.4% q/q) compared with Q4 2025 (+0.3%). This is due to stronger industrial momentum, as evidenced by the improvement in the manufacturing PMI in January-February.

Our nowcast for French growth suggests continued momentum in Q1 2026, at +0.3% q/q, which is the average level recorded since Q2 2025. This growth is supported by industry. The decline in consumer confidence in March is not expected to weigh on Q1 GDP, but rather on Q2.

Business sentiment at its lowest level in 10 months and the cooling down of the labor market have led to a downward revision of our nowcast for Q1 Belgian GDP growth (from 0.3% to 0.15%). In parallel, business transactions (a proxy for activity levels) are trending down again since a couple of weeks.

Read the Nowcast methodology
Tarik.rharrab@bnpparibas.com

ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth 2024	GDP Growth 2025	GDP Growth 2026 e	GDP Growth 2027 e	Inflation 2024	Inflation 2025	Inflation 2026 e	Inflation 2027 e
United States	2,8	2,1	2,7	2,0	2,9	2,7	3,2	2,5
Japan	0,1	1,2	0,8	0,9	2,7	3,1	2,0	2,5
United Kingdom	1,1	1,3	0,6	-	2,5	3,4	3,6	3,3
Euro Area	0,9	1,5	1,6	1,6	2,4	2,1	1,9	2,3
Germany	-0,5	0,4	1,4	1,5	2,5	2,2	1,6	2,3
France	1,1	0,9	1,3	1,3	2,3	1,0	1,1	1,5
Italy	0,5	0,7	1,0	0,9	1,1	1,7	1,5	1,9
Spain	3,5	2,8	2,5	2,3	2,8	2,7	2,3	1,9
China	5,0	5,0	4.7	4.5	0,2	0,1	0,9	1,0
India*	7,1	7,6	7,0	6,8	4,6	2,1	4,1	4,3
Brazil	3,4	2,2	1,8	1,4	4,4	5,0	4,0	3,8

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 13 April 2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026				2027
End of period		Spot 17/04	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	3.75	3.75
	T-Note 10y	4.24	4.35	4.45	4.50	-
Eurozone	deposit rate	2.00	2.25	2.75	2.75	-
	Bund 10y	2.93	3.00	3.05	3.10	-
	OAT 10y	3.51	3.65	3.80	3.87	-
	BTP 10y	3.68	3.58	3.70	3.75	-
	BONO 10y	3.39	3.42	3.50	3.55	-
UK	Base rate	3.75	-	-	-	-
	Gilts 10y	4.76	4.50	4.40	4.30	-
Japan	BoJ Rate	0.75	1.00	1.25	1.25	2.00
	JGB 10y	2.39	2.00	2.05	2.10	-

Exchange Rates		2026				2027
End of period		Spot 17/04	Q2	Q3	Q4	Q4
USD	EUR / USD	1.18	1.18	1.19	1.20	1.22
	USD / JPY	158	158	159	160	160
	GBP / USD	1.36	1.30	1.29	1.30	1.30
EUR	EUR / GBP	0.87	0.91	0.92	0.92	0.94
	EUR / JPY	186	186	189	192	195

Brent		2026				2027
Quarter Average		Spot 17/04	Q2	Q3	Q4	Q4
Brent	USD/bbl	91	57	63	63	73

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 20/04/2026

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We invite you to follow our EcoInsights analyses on the war in Iran.
The "Growth and Inflation" baseline scenarios will be fully updated in April.

UNITED STATES

The US economy is expected to grow above its potential pace in 2026, with an average annual growth rate of +2.7%, a yearly improvement (+2.1% in 2025). This apparent resilience to uncertainty, tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, supported by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). The inflation overshooting of the target is set to continue (+3.2% in 2026) until at least 2028 due to tariffs – although the impact of these appears to be less significant than expected – and the rise in oil prices. The labour market is experiencing a slowdown in both demand and supply, linked to a less dynamic economy than after the post-pandemic reopening due to the administration's immigration policy. The rebalancing of risks surrounding the Fed's dual mandate and its emphasis on the 'employment' component has triggered a new cycle of rate cuts. The FOMC implemented three rate cuts (-75 bps cumulative) in total in 2025, and we expect the Fed Funds target range to be held steady à 3,5% - 3,75% throughout 2026.

CHINA

Economic growth accelerated to +5.0% y/y in Q1 2026, vs. +4.5% in Q4 2025. It stood at 5% in 2025 as a whole and it is expected to slow moderately in 2026. Growth remains characterized by a K-shaped trajectory. On the one hand, exports are still dynamic, and Chinese goods are likely to remain competitive in the short term. On the other hand, domestic demand remains sluggish. It rebounded in the first two months of 2026 but weakened again in March. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, but their measures will continue to be modest, even in a less supportive global environment. Deflationary pressures are expected to decline in 2026, notably thanks to higher global energy prices and anti-involution measures implemented by the authorities.

EUROZONE

After holding up well in 2025 (1.5%), growth is expected to strengthen in 2026 (+1.6%). It is expected to grow at a stable quarterly rate of 0.5% over the year. Favourable carryover effect would keep the average annual unchanged in 2027 (1.6%), despite a lower quarterly profile (+0.3% q/q). The roll-out of fiscal measures in Germany and the planned increase in military spending and AI-related investment in Europe, against a backdrop of labour market resilience, underpin this scenario. This momentum will nevertheless be undermined by the energy shock linked to developments in the Middle East, which leads us to revise our monetary policy scenario for 2026: the ECB would implement three successive rate hikes (June, July, September), bringing the deposit rate to 2.75%. In this context, this tightening would increase uncertainty regarding our growth outlook, without invalidating it at this stage.

FRANCE

GDP growth reached 0.2% q/q in Q4 (after 0.5% q/q in Q3), driven by private consumption (+0.3% q/q), household investment (+1.1% q/q) and the exports of aeronautics. Inflation was quite low in 2025 (1%) and should not accelerate in 2026 (1.1%). In 2026, GDP growth should increase to 1.3%, driven by demand (business investment, exports, private consumption), after a lower performance in 2025 (0.9%).

UNITED KINGDOM

Economic activity is expected to slow in 2026, with growth easing to 0.6% after 1.4% in 2025. The energy shock linked to the war in Iran would generate renewed inflationary pressures, and instead of gradually converging back to target, inflation is projected to reach 3.6% a/a before declining only gradually to 3.3% a/a in 2027. In this context, and contrary to the previously expected monetary easing, we now anticipate a tightening of 50 basis points in 2026. Growth momentum would remain weak, with quarterly expansion averaging around +0.1%. Activity would be mainly supported by public spending, particularly through increased public investment; defense investment plans in the UK and across Europe are expected to provide some support to economic activity. Conversely, persistent labor market tightness, risks of de-anchoring of inflation expectations (and thus second-round inflationary effects), as well as deterioration in corporate conditions could weigh further on the outlook.

JAPAN

Japanese growth is expected to slightly exceed its potential level in 2026. In 2025, the average annual growth rate stood at +1.2% and is expected to slow to +0.8% in 2026, as fiscal policy should support activity while supply constraints and inflation temper it. Underlying inflation has exceeded the +2% y/y target since 2022. As a result, solid nominal wage increases, which are expected to continue in 2026, are proving insufficient to stem the decline in real incomes and support household demand. The level of public debt is contributing to bond pressure, illustrated by record 10-year and 30-year rates over more than two decades, probably reinforced by expansionary fiscal policy and the spacing of key rate hikes. In fact, in 2024, the Bank of Japan began a cycle of 'less accommodative' policy and the policy rate currently stands at +0.75% (previously negative). We expect the process to extend, including one hike in Q2 2026 +25pb), until a +2.0% terminal rate is reached at the end of 2027.

EXCHANGE RATES

We expect the dollar to continue depreciating against the euro. Structural changes in fiscal policy and the expected strengthening of growth in Europe, coupled with the slowdown in the United States, underpin our forecast of a gradual and moderate rise in the EUR/GBP exchange rate by the end of 2026 (1.20 in Q4 2026). Conversely, we anticipate a slight depreciation of the yen and the GBP against the dollar (USD/JPY 160 and GBP/USD 1.3 in Q4 2026).

CHART OF THE WEEK

15 April 2026

LATIN AMERICA: MORE EXPOSED TO INFLATIONARY PRESSURES THAN TO DISRUPTIONS IN HYDROCARBON SUPPLIES

Hélène Drouot

Latin America is considerably less exposed than other emerging regions to the repercussions of the war in the Middle East. This is mainly due to its very low risk of hydrocarbon supply disruptions: the vast majority of imported hydrocarbons come from the United States and other countries in the region, with only a negligible portion coming from the Middle East. Furthermore, several countries are net exporters (Argentina, Brazil, Colombia and Ecuador (shown in grey in *Chart 1*)).

Due to this low level of vulnerability, the currencies of the main Latin American countries have reacted very little since the end of February (see *Chart 2*). The conflict in the Middle East has, admittedly, interrupted the trend of currency appreciation (against the USD) in countries that are net importers of hydrocarbons, a trend that has been observed since January 2025. However, these depreciations have remained very moderate, and the currencies of countries that are net exporters of hydrocarbons have even shown a slight appreciation as of 14 April.

However, refining capacity is limited, even in net hydrocarbon-exporting countries, which means that all the major countries in the region are therefore net importers of refined petroleum products (shown in green in *Chart 1*). Consequently, their balance of payments is exposed to fluctuations in the prices of refined hydrocarbons.

Net hydrocarbon importers, broadly defined to include Chile, Peru, Mexico, Uruguay and the Central American countries, are the most vulnerable, although exports of gold from Peru, crude oil from Mexico and copper from Chile will partially offset the impact of rising import prices. Chile and Uruguay have the largest energy deficits (-4% and -2.2% of GDP respectively). This largely explains why the Chilean and Uruguayan pesos have seen the sharpest depreciation against the USD since the start of the conflict, with declines of 4.3% and 3.8%, respectively. In the short term, however, the moderate levels of current account deficits will help to absorb the external shock.

Fiscal policy remains predominantly restrictive across Latin American countries. With the exception of Brazil, governments have generally opted to pass on the shock through price adjustments, indicative of limited room for manoeuvre and a desire to preserve the credibility of their economic policies. This stance is more a reflection of financing constraints than a matter of choice. In Chile and Colombia (although fiscal policy there is accommodative), existing mechanisms for controlling fuel prices were gradually phased out during March.

This decision implies a more significant transmission of the energy shock to domestic prices, the full effects of which are expected to materialise in Q2. Inflationary pressures were already evident in March, driven largely by the transport component, which accounts for nearly 15% of the total index on average across all countries in the region. This brings to an end the disinflationary trend observed since the second half of 2023 in Brazil, Chile, Mexico and Peru. On the monetary front, the easing cycle appears to have come to an end in Chile and Peru. In Mexico, the central bank has not ruled out a final rate cut, provided the situation in the Middle East stabilises, with the next meeting scheduled for 7 May. Brazil's central bank began its monetary easing in March, although it may proceed at a more gradual pace than initially anticipated. Finally, against a backdrop of ongoing inflation, Colombia stands out as the only major central bank in Latin America expected to raise its short-term interest rates.

Hélène Drouot
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Insufficient refining capacity

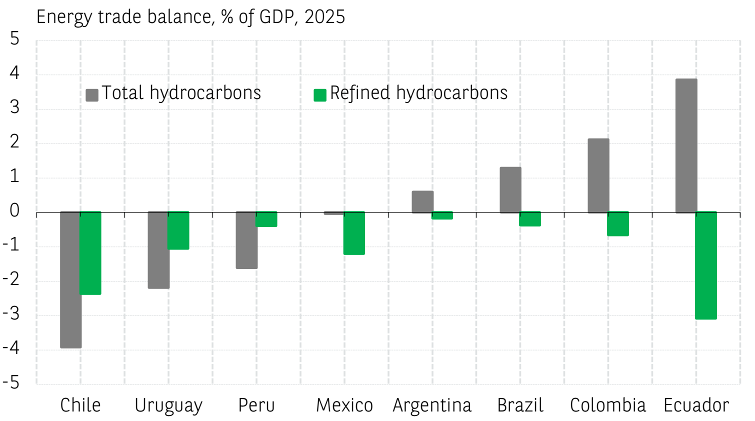

CHART 1

SOURCE: IMF, ITC, BNP PARIBAS

Signs of resilience: very moderate corrections in the foreign exchange market since the start of the conflict

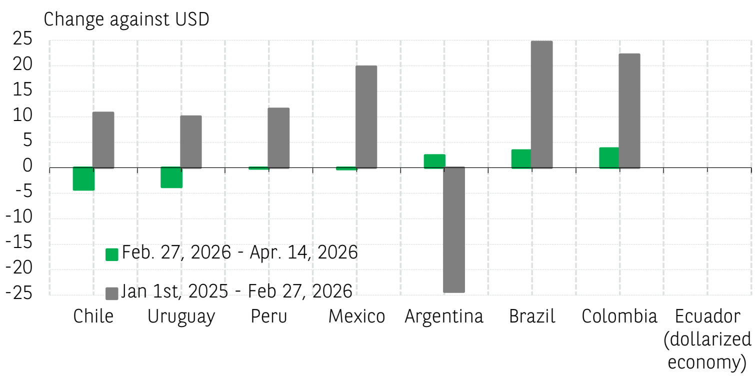

CHART 2

SOURCES : CENTRAL BANKS, BNP PARIBAS

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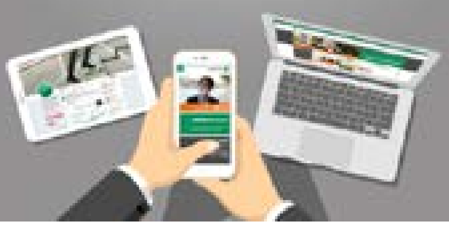

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La banque
d'un monde
qui change

Paris, le 14 April 2026

EcoFlash

Elections in Hungary: a strong mandate to tackle economic challenges

In Hungary, Péter Magyar's pro-European centre-right party won a landslide victory in the general election held on 12 April. According to the latest official estimates, Tisza is reported to have secured a supermajority, which would give it significant room for manoeuvre to drive through institutional reforms. The new government will nevertheless face several challenges, including the release of European funds essential for revitalising the economy, and the consolidation of public finances. Meanwhile, the partnership with China in the field of electric mobility remains a priority.

A supermajority for Péter Magyar's new government?

In the general election held on 12 April, Péter Magyar, the leader of Tisza – a centre-right, pro-European party– won a landslide victory. According to the latest figures, he is reported to have secured 137 of the 199 seats in Parliament[1]. These elections bring to an end the 16-year rule of Viktor Orbán's government[2], led by Fidesz. The Fidesz-KDNP alliance, which came in second with 56 seats, is followed at a considerable distance by Mi Hazánk, the far-right party, which holds six seats. The record voter turnout of 79.6% (compared to 69.6% in 2022) reflects the high stakes of the election. The new government is expected to take office within a month for a four-year term.

This is the ideal scenario for Péter Magyar's future government. Viktor Orbán conceded defeat on election night, thereby removing any uncertainty regarding the outcome of the vote. Currently, all indications point to Tisza having secured a supermajority in Parliament. If this is confirmed next Saturday, this comfortable majority will mark a decisive turning point for Hungary. A supermajority is, in fact, essential for any constitutional change and gives the future government the necessary leeway to implement economic and institutional reforms. It is worth noting that Hungary currently ranks at the lowest position among Central European countries in terms of governance[3].

Significant yet manageable economic challenges

- **Towards a gradual release of European funds.** On the economic front, Tisza's decisive victory and its future commitment to institutional reforms should pave the way, in the coming months, for the release of European funds (EUR19 billion, or around 8.8% of GDP).
- **A tight schedule.** The transfer of European funds, particularly those linked to recovery and resilience (EUR 10.4 billion allocated, 4.8% of GDP), must be completed by 31 December 2026, with all milestones needing to be met by 31 August 2026. To date, 91.3% of the funds earmarked for Hungary are still awaiting transfer and could be permanently forfeited if the reforms are not approved in time. By comparison, other countries in the region have already used up around half of the recovery and resilience funds.
- **A flagging economy in need of a boost.** Péter Magyar's forthcoming government is counting on these resources to revive investment, which has been in sharp decline since 2022, and to support growth. It inherits a faltering economy (following several years of sluggish growth) which must also contend with the repercussions of the conflict in the Middle East. Inflation began to rise again in March (+1.8% y/y compared with 1.4% in February) and is expected to accelerate further in the coming months, although the government's cap on fuel prices and tax cuts should help to contain inflationary pressures.
- **The incoming government has pledged to consolidate public finances.** The release of European funds is expected to provide some relief for public finances. However, public spending is not expected to fall significantly in the short term under Péter Magyar's government. His priorities are healthcare, education and maintaining generous social welfare measures. In 2026, the budget deficit could remain close to 5% of GDP. The public debt-to-GDP ratio (74.6% in 2025) is the highest in Central Europe and is expected to rise further in the short term. This deterioration in public finances could act as a brake on the future government's ambitious economic programme.

  The government is expected to uphold its commitment to consolidating public finances in the medium term in order to comply with the fiscal rules set for 2030, in line with its election manifesto and with the aim of joining the eurozone. This commitment should help reduce investors' perception of sovereign risk and enable government bond yields (currently among the highest in Central Europe) to fall.

Maintaining the partnership with China

For several years, Hungary has successfully attracted foreign direct investment (inbound FDI: EUR6.8 billion, 3.2% of GDP in 2025), much of which is directed towards the automotive sector. The country is one of the main recipients of Chinese investment in the automotive sector in the region, and it is anticipated that China will continue to be a key partner for Hungary. The national strategy for electric mobility is not expected to change in the medium term. On the contrary, the war in the Middle East is likely to reinforce this strategic positioning. It should be noted that a Chinese BYD factory, focused on electric cars, is expected to become operational in 2026.

Normalisation of relations with the EU

Tisza's victory is likely to facilitate the normalisation of Hungary's relations with the EU and pave the way for the release of the EUR90 billion European loan intended for Ukraine, which Viktor Orbán's government had vetoed.

The dependence on Russian hydrocarbons is set to continue in the short term. Economic ties between Russia and Hungary are expected to remain strong in the short term, particularly in the energy sector. Currently, 80.3% of oil and 77.3% of gas comes from Russia. However, Peter Magyar's election manifesto aims to reduce dependence on Russian energy supplies by 2035. However, the ongoing conflict in the Middle East may prolong this transition.

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[1] The number of seats required for a supermajority is 133. By way of comparison, in 2022, Fidesz, Viktor Orbán's party, won a supermajority with 135 seats. The final results will be announced on Saturday.
[2] Election results as of 2:58 pm on 14 April, according to the National Election Office.
[3] Transparency International's Corruption Perceptions Index ranks Hungary at the bottom of the table alongside Bulgaria.

WORLD ECONOMY: HOW TO TAKE STOCK IN THE MIDST OF UNFOLDING CHAOS?

This week, Washington DC will host two gatherings that should be important in their own right, and yet are unlikely to be: one is the Spring Meetings of the International Monetary Fund (IMF) and World Bank (WB), which brings into town thousands of top finance and central banking officials as well as private sector delegates from the financial sector and civil society; the other is the peace negotiations between Israel and Lebanon. The former is traditionally an opportunity to take stock and send a combination of reassuring messages to markets and stern admonitions to policymakers. The latter could have been history-making just for taking place. Yet both are certain to be overshadowed by developments in the Persian Gulf and US-Iran talks. Unable to pin down the near-term outlook, delegates are likely to set their sight, more than usual, on longer-fused developments: inexorably rising public debt burdens, global economic governance in the post US-centric age, AI's economic and geopolitical impacts, and the implications of the rise of private markets and digital finance. Here are five key questions I will seek to get greater clarity on.

HOW RESILIENT WILL THE GLOBAL ECONOMY BE THIS TIME AROUND?

The 2026 Spring Meetings bring a weary sense of *déjà vu*. A year ago, they were haunted by the fallout from "Liberation Day", which turned out to inflict minimal, if any, damage to the global economy, contrary to consensus expectations at the 2025 Spring Meetings. Today, the ghost in the machine is the war in the Gulf—a crisis that has effectively tethered global growth to the whims of belligerents' attacks on energy infrastructure and restrictions on passage through the Strait of Hormuz.

We are witnessing a stagflationary shock that compounds with every day the world is going without the bulk of the 20 million barrels per day of crude oil and petroleum products it was getting from the Gulf prior to the war.

While some are more vulnerable than others, most economies - advanced and emerging alike - entered 2026 with a healthy growth momentum, broadly contained inflation, and manageable external imbalances. These will provide helpful buffers.

However, fiscal positions are generally weak and are likely to worsen. The IMF has already sounded the alarm about this. It will be interesting to see if governments listen.

HOW HAWKISHLY WILL CENTRAL BANKS RESPOND?

While the year started with expectations of multiple rate cuts from the Fed, the Bank of England and many EM central banks, and a long spell of neutral policy from the ECB, central bank rhetoric and market expectations alike have taken a hawkish turn.

Crucially, this is not a repeat of 2022. Central banks are starting from much higher interest rate levels, and do not face the ultra-tight labour markets and broad-based supply-demand imbalances of the post-pandemic era. The sharp increases already seen in fuel prices will slow down demand.

That said, central banks will be keen not to let inflation expectations get out of hand so soon after the last inflation shock. Monetary policymakers will be hard-pressed to explain how they process the incoming data flow to adjust their reaction strategy and balance growth and inflation risks in their respective economies.

HOW WILL THE APPARENT DISCONNECT BETWEEN FINANCIAL MARKETS AND THE REAL ECONOMY GET RESOLVED?

In recent weeks, there has been a striking dissonance between energy experts and economists on the one hand, and financial markets on the other.

The former have tended to stress that the energy price shock caused by the war is set to outlast military hostilities by at least several months, and possibly longer if more damage is inflicted to energy production infrastructure in the Gulf. All economies will face higher inflation and lower growth as a result, with the extent of the shock growing with every passing day without a resolution on the ground.

Meanwhile, stock markets have corrected only to a very modest extent, if at all (the NASDAQ closed up compared to the eve of the war on April 10) and full-year earnings expectations have generally not been revised down, at least for now. By contrast, sovereign bond markets have delivered large increases in long-term bond yields, reflecting less higher inflation expectations than growing fiscal risks. Dollar appreciation has been relatively muted, relative to previous energy price shocks.

Should the outlook for peace and oil markets normalization worsen, risk assets could reprice abruptly. Given the ongoing cracks that have been appearing in private markets since before the onset of the war, it is not hard to think of scenarios where financial markets abruptly take a turn for the worse, and these are certain to feature prominently in conversations throughout the week. What would central banks do then will be another question for attention.

WILL AI SAVE THE DAY AGAIN OR BRING FURTHER DOOM AND GLOOM, AND ARE THERE OTHER CREDIBLE LEVERS OF STRUCTURAL GROWTH?

The accelerated infrastructure buildup and deployment of AI was a key unsung hero of 2025, explaining a large part of the resilience of global trade and GDP growth in the US and many Asian countries that are key nodes in the global AI supply chain.

While most research to date on the impact of AI on either the labour market or productivity is inconclusive, even in the US, there is a raging debate, both in academia and among policymakers, as to the extent to which AI could deliver a structural boost to growth and hence help ameliorate fiscal challenges. There is also a growing focus on who will be the losers from the deployment of AI, and what strategies governments can and should develop to maximise the gains and minimise the losses from this transformative technology.

In Europe, policymakers have a much broader agenda of structural reforms intended to boost growth in a structural way. Spring Meetings delegates will be keen to probe how far along Europe is in moving forward from agenda to execution.

WHAT WILL BE THE BROADER AND LONGER-TERM IMPLICATIONS OF THIS GULF WAR?

Global delegates to the IMF/WB Meetings are always keen to understand US politics in election years. They will be doubly so this year. The Gulf War and associated gasoline price increases have been deeply unpopular in the US, and the odds have been rising of Republicans losing not just the House but also the Senate in the November midterm elections. It's too soon to tell, but not to start mapping out the implications of these scenarios.

On the global stage too, this war is likely to be consequential, with US antagonists like China, Russia and others likely to recalibrate their perceptions of the threat represented by the US, and US allies –in the Gulf and in NATO– rethinking the costs and benefits of the said alliance. Of course, the US President has vowed to rethink NATO involvement too.

The upcoming reset starts with geopolitics but is likely to extend to finance as well: will cross-border capital stocks and flows underpinned for decades by hard-wired geopolitical alliances remain as strong if these underpinnings weaken? At issue here is, yet again, the dominant role of the US dollar in the international financial system.

Lastly, many nations are likely to conclude from the war that they must intensify their efforts to diversify their energy sources away from imported oil and gas and accelerate their electrification efforts. This too will have financial and geopolitical implications.

There will be other issues in focus as well: what's next for US trade policy, and how quickly is digital ledger technology-based finance growing. Both important and interesting, but less likely than the others to be game changing over the next six months.

Unusually, the near-term fate of the global economy will be largely out of the hands of the top officials gathered in Washington this week. But by sharing their perspectives, heeding the analysis and advice of the multilateral institutions, and actively preparing for the world after the war, they are more likely to "do no harm", and guide both markets and their respective economies to a soft landing.

Isabelle Mateos y Lago

ECONEWS

Find out more in our scenario and forecasts

ADVANCED ECONOMIES

UNITED STATES

Inflation is on the rise due to increasing energy prices (core inflation remains stable) and is affecting household confidence. CPI inflation reached 3.3% y/y (+0.9pp) in March, with a 21.2% m/m (seasonally adjusted) rise in petrol prices. This monthly change (+0.9% m/m) is the highest since 2022. Core inflation has remained relatively unchanged (+2.6% y/y, +0.1pp), dragged down by used car prices and temporary weakness in non-housing services. Household confidence, as measured by the University of Michigan, hit a record low of 47.6 (-5.7 points) in April due to concerns over inflation, with a 1-point rise in 1-year inflation expectations (4.8%). Orders for durable goods contracted (-1.4% m/m) due to the aerospace component (-28.6% m/m), but the core component rose by 0.8% m/m. Consumer spending improved to +0.5% m/m (+0.2pp), a nominal result that should be viewed in light of the resilience of core PCE inflation over the same period (stable at +0.4% m/m, and down 0.1pp to +3.0% y/y). GDP growth for Q4 2025 has been revised to +0.5% on an annualised basis (-0.9pp) due to private consumption (-0.3pp to +1.3%) and non-residential investment (-1.3pp to +2.4%). The minutes of the latest FOMC meeting (17-18 March) indicate a renewed focus on inflation, with "*some participants*" noting the possibility of "*greater sensitivity of long-term inflation expectations to energy price increases*" and, above all, concluding that there are "*strong reasons*" to shift from a downside risk to the Fed Funds rate to risks in both directions (downside or upside). *Upcoming: Producer prices and NFIB survey (Tuesday), Fed Beige Book (Wednesday), Industrial production (Thursday).*

EUROPEAN UNION

Energy and the budgetary framework: the European Commission (EC) is playing for time. The EC is examining requests from several Member States (Germany, Italy, Spain, Portugal, Austria) to introduce a tax on the windfall profits of energy companies, without considering any action at this stage, while the proposed 'toolkit' (networks, electricity taxation, financial support) is still under development. A working document will be presented by the European Commission ahead of the informal meeting of heads of state on 23 April. The appeal by Italian Prime Minister Meloni to suspend budget rules should the crisis worsen has been rejected by the EC, which considers this option premature. Meanwhile, Brussels is preparing to relax its regulations on methane emissions linked to fossil fuel imports in order to safeguard security of supply.

EUROZONE

Mixed signals. The household savings rate fell to 14.4% in Q4 2025 (the lowest since Q3 2023), while the decline in producer prices accelerated in February (-3% y/y; -1pp m/m) driven by falling energy prices. Retail sales fell slightly (-0.2% m/m), returning to their November levels. *Upcoming: February industrial production (Wednesday), final March inflation (Thursday), February current account (Friday).*

France: Foreign trade remains buoyant. Growth in goods exports continues, building on the momentum seen in the second half of 2025 (+EUR 16 billion y/y) and reaching +EUR 3 bn y/y in January-February 2026, according to Customs figures. This growth is mainly directed towards the EU (including Germany), particularly in the aerospace, defence, pharmaceutical and AI-related equipment sectors. As a result, the current account balance has almost returned to equilibrium, compared with a deficit of EUR 12.5 bn in 2025 (although the deficit is expected to widen in the coming months as oil prices rebound). The government has announced an 'electrification' plan, comprising measures designed to boost electricity consumption as a substitute for fossil fuels. Dedicated funding will double from EUR 5.5 bn to EUR 10 bn per year (to finance, in particular, the installation of heat pumps and the expansion of social leasing schemes for the purchase of electric vehicles). The "critical metals" fund has announced an investment in a rare-earth refinery in Lacq, aiming to meet 15% of global demand for heavy rare earths by 2027. Moody's has left the sovereign rating and its outlook unchanged (Aa3 with a negative outlook), one notch above S&P and Fitch.

Germany: Generally favourable trends. Car registrations rose by 16% y/y in March (+5% y/y in Q1), driven by a sharp rise in electric vehicle sales (+41% y/y in Q1). They accounted for nearly a quarter of sales in March and, for the first time, exceeded sales of combustion-engine vehicles. New industrial orders rebounded in February (+0.9% m/m) and have risen by over 5% on average in the last six months compared with the previous six months. In February, production fell in construction (-1.2% m/m) and stagnated in industry, with improvements noted across most sectors except electronics and furniture. The trade surplus stood at EUR 19.8 billion in February (+12% y/y), driven by rising exports to the EU, particularly to the Eurozone (+5.2% m/m; +7.0% y/y), while sales to China (-10.8% y/y) and the United States (-13.3% y/y) declined.

JAPAN

Household confidence falls while producer prices rebound. Household confidence fell by nearly 6 points to 33.3 in March, after reaching a high in February not seen since April 2019. The concerns expressed are more about the general economic climate rather than individual financial wealth. In March, producer prices rose by +0.8% m/m (+2.6% y/y), with petroleum products and coal seeing an increase of +7.7% m/m. In February, scheduled contractual wages remained robust at +3.3% y/y (+0.3pp, the highest since 1992). The real wage index stood at +1.9% y/y (+1.2pp), aided by a reduction in inflation over recent months.

UNITED KINGDOM

A slight improvement in construction. The construction PMI rose to 45.6 in March (+1.1 m/m), but has remained in contraction territory for over a year. Energy and raw material prices are rising, and the outlook continues to deteriorate. *Upcoming: February growth, foreign trade and industrial production figures (Thursday).*

EMERGING ECONOMIES

AFRICA & MIDDLE EAST

United Arab Emirates-Bahrain: Signing of a currency swap agreement between the two central banks worth AED20bn (USD5.4bn) for a term of five years. The official purpose of this agreement is to strengthen financial and trade relations between the two countries. However, Bahrain is also one of the Gulf economies most vulnerable to the repercussions of the conflict in Iran. This support from the UAE aims to alleviate potential concerns regarding external liquidity and to reassure the markets.

Gulf governments are turning to private placements for their bonds. The Abu Dhabi government has just raised USD2.5 bn, at a time when bond markets have been closed to sovereign issuers in the region since the start of the conflict. This move follows a similar action by the Qatari government, which raised USD3 bn.

Find out more in our scenario and forecasts

ASIA

Inflation rose moderately in March. In **South Korea**, inflation stood at just 2.2% y/y, up from 2% in January and February, as the impact of rising prices for imported raw materials was mitigated by administrative price controls; the central bank left its key interest rate unchanged at 2.5%. In **Taiwan**, inflation in March (1.5%) remained virtually unchanged from January-February, also kept in check by administrative price controls. In **Indonesia**, inflation slowed to 3.5% y/y, down from 4.8% in February, largely thanks to energy price subsidies, which mitigated the impact of rising oil prices. In **Thailand**, CPI inflation rebounded but remains in negative territory (-0.1% y/y, compared with -0.8% in January-February). The **Philippines** recorded a much sharper rise in inflation, from 2.4% y/y in February to 4.1% in March. The same was true for **Vietnam**, where CPI inflation rose from 2.9% y/y in February to 4.2% in March.

China: A (welcome) rise in inflation. CPI inflation reached 1% y/y in March, up from 0.8% in January-February, driven mainly by rising energy prices. Vehicle fuel prices rose by 3.4% y/y in March, following 19 consecutive months of decline. Crucially, the producer price index rose by 0.5% y/y in March, ending 41 consecutive months of decline.

India: Key interest rate unchanged. The central bank left its key interest rate unchanged at 5.25% this week. The measures taken the previous week helped to shore up the rupee, which has gained 0.9% against the US dollar since 1st April (and has depreciated by just 1.5% against the US dollar since the end of February).

EMERGING EUROPE

Hungary: Defeat for Viktor Orbán's government after 16 years in power. In the parliamentary elections on 12 April, the opposition party Tisza, (centre-right and pro-European), led by Péter Magyar, won a landslide victory with an absolute majority (138 out of 199 seats in Parliament). Fidesz, Victor Orban's party, managed to secure 55 seats. Voter turnout stood at 79.5%, a record high compared to previous elections (69.6% in 2022). Securing an absolute majority will enable the new government to implement institutional reforms. This should pave the way for the release of European funds for Hungary (around EUR 19 billion). Furthermore, the pro-European stance of the future Hungarian government is expected to result in the release of the EUR 90 billion European loan to Ukraine.

Hungary: Inflation accelerated slightly in March (+1.8% y/y vs. 1.4% in February), due to rising prices for fuel, services, as well as alcoholic beverages and tobacco. Food prices remained stable in March. Core inflation fell slightly to +1.9% y/y in March (+2.1% in February).

Poland and Romania: Monetary status quo. As expected, the Polish and Romanian central banks kept their respective key interest rates at 3.75% and 6.5%. They are expected to remain cautious over the coming months in the face of rising inflation.

LATIN AMERICA

First signs of inflationary pressures. March data reveal a rise in inflation, driven mainly by the transport sector, which accounts for nearly 15% of the overall index. In **Brazil**, CPI inflation increased to 4.1% y/y from 3.8% in February, but remains below the average for the final months of 2025 (4.5% y/y in Q4 2025). In **Peru**, the inflation rate reached 3.4% y/y and 2.1% m/m, exacerbated by a gas pipeline failure in early March. In **Chile**, inflation rose from 2.4% y/y in February to 2.8% in March (1% m/m), despite the fuel price control mechanism remaining in place until 24 March. In **Mexico**, despite the price stabilisation mechanism in effect since 2022, inflation increased to 4.6% y/y (up from 4% in February) and 0.9% m/m, driven by the price of fruit and vegetables. In **Colombia**, while the transport component did not rise in March, headline inflation accelerated to 5.6% y/y. Inflation was already high (above 5% y/y) even before the start of the conflict in the Middle East.

COMMODITIES

Restrictions on shipping through the Strait of Hormuz, and repeated disruptions to production capacity are increasing tensions in the oil and oil derivatives markets. The cumulative shortfall in barrels since the start of the conflict is prompting the release of new stocks and driving up the price of physical crude to record levels.

In a sign of sharply rising short-term tensions in the oil market, the spread between the spot price of a barrel of physical oil and the futures price continues to widen, reaching a record high. The spread between the price of a barrel of Dated Brent (for immediate delivery) and Brent for June 2026 (the nearest futures contract) was over USD30 per barrel on 10 April, whereas it had been less than USD3 per barrel prior to the outbreak of the conflict.

Saudi Arabia: Rapid restoration of most production capacity. The latest attacks on the Khurais and Manifa oil fields, as well as on the East-West pipeline (which allows Saudi Arabia to bypass the Strait of Hormuz), have reportedly reduced the kingdom's production capacity by 0.6 million b/d (5% of total production capacity) and transit capacity by 0.7 million b/d, according to a statement by the Saudi Energy Minister on 9 April. However, he confirmed on Sunday that most of the damage had been repaired, with the exception of 0.3 million barrels per day from the Khurais oil field, where repairs are ongoing.

Japan has unilaterally decided to release additional barrels from its public strategic reserves, amounting to 20 days' worth of oil demand (approximately 32 million barrels of oil), onto the market for the month of May. The country has already begun releasing 79.8 million barrels of oil (crude and products), equivalent to around 50 days' worth of demand, as part of the agreement reached by members of the International Energy Agency on 11 March (400 million barrels).

The markets reacted strongly to President Trump's announcement on Sunday regarding the blockade of the Strait of Hormuz. The price of Brent rose by 9% at the markets' opening and is now trading above USD100 per barrel once again. Additionally, the TTF (European spot gas price) rose by 8% and is currently trading at around EUR47 per MWh.

ECOINSIGHT

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IN THE FACE OF AGEING POPULATION, EUROZONE ECONOMIES APPEAR TO BE THE MOST VULNERABLE

Koen De Leus

Most developed countries are ageing rapidly. According to the United Nations population database, the proportion of people aged 65 and over in the group of "more developed countries[1]" is projected to rise from 21.5% in 2026 to 32.3% by 2100. There are however significant differences between countries. In Japan, for example, over 30.5% of the population is already over 65. By the end of the century, this figure is expected to stabilise at around 39%. In countries with a more favourable ageing profile, such as the United States, the share is projected to increase from 19% to 30.5%.

Such increases pose a threat to social security systems. Without any specific reforms, pension and healthcare spending will rise while contributions from the shrinking working-age population will decline.

Which countries are financially most vulnerable to ageing? We analysed this question for 16 developed countries using five ratios in our ageing vulnerability index[2].

The Anglo-Saxon countries together with the Scandinavian countries Sweden and Denmark perform best in the overall ranking. The most vulnerable countries are all European, with rapidly ageing Spain and Italy ranking lowest.

1 These include all European countries, North America, Australia and New Zealand, and Japan.

2 The five ratios are: net government debt as a percentage of GDP; government revenues as a percentage of GDP; the increase in the dependency ratio (25–65 / 0–25 & 65+) during the period 2026–2050; the current share of public pensions (old-age and survivors' pensions) in total pensions; and the net present value of additional government spending on pensions and healthcare between 2024 and 2050 as a percentage of GDP. The final ranking takes into account the average score on the five different ratios. Source: De Leus, Koen & Gijsels, Philippe (2024), The New World Economy in Five Trends, Uitgeverij Lannoo.

ECONOMIC RESEARCH

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IMF AGEING VULNERABILITY INDEX, 2026 UPDATE

Countries based on their vulnerability to aging: green=low orange=moderate red=high	Average Score ******	Net debt (% GDP)*	General government revenues (% GDP)**	Dependency ratio increase (0-25 & 65+/25-65) 2026-2050 (% points)***	Share public pensions (old age and survivors) /total pension income (%)****	NPV extra pension & health spending 2024-50 (% GDP)*****
Australia	78.75	32.4	36.3	10.4%	49.8%	37.5
Sweden	75	14.2	47.0	2.1%	84.0%	3.6
Canada	73.75	14.1	42.1	9.6%	62.5%	46.1
Denmark	68.75	-4.3	50.0	8.9%	82.3%	27.2
Ireland	67.5	24.4	23.4	18.2%	79.1%	43.8
United Kingdom	65	95.9	40.2	6.5%	71.8%	49
United States	62.5	103.0	30.1	5.4%	55.6%	114.3
Netherlands	56.25	37.3	43.5	12.4%	70.5%	61.8
Japan	45	128.9	37.2	27.0%	77.9%	59.9
Germany	43.75	50.7	48.0	24.1%	94.3%	41.8
Norway	43.75	-168.3	59.7	14.2%	90.2%	72.8
France	40	111.3	51.7	8.9%	98.2%	27.6
Portugal	35	82.6	44.1	37.5%	97.6%	61.6
Belgium	33.75	97.7	49.6	11.8%	91.1%	78
Italy	33.75	128.6	47.1	41.4%	95.3%	34.7
Spain	27.5	84.6	42.6	51.9%	97.9%	82.9

* Net debt: General Government, IMF estimate (WEO database);
** General Governement Revenues: IMF estimate (WEO database);
*** Dependency ratio increase (0-25 & 65+/25-65) over 2026-2050: United Nations, World Population Prospects 2024, medium variant;
**** Share public pensions (old age and survivors) in total pension income: OECD Social Expenditures;
***** NPV: IMF fiscal Monitor Oct 2025;
****** Average score.

TABLE

SOURCE: IMF, UNITED NATIONS, OECD, DE LEUS KOEN & GIJSELS PHILIPPE (2024), THE NEW WORLD ECONOMY IN FIVE TRENDS, UITGEVERIJ LANNOO

Assessing vulnerability to ageing

Looking at the different ratios, we observe the following:

- Net government debt (as a percentage of GDP): In many countries, government debt is at its highest peacetime level, or close to it. This leaves little room to absorb the additional costs of an ageing population. Japan and Italy top the ranking, at 129% of GDP.

- Tax revenues (as a percentage of GDP): Raising tax revenues to finance the rising costs of an ageing population is no longer a viable option in many countries. Several European countries already have government revenues around 50% of GDP, including Denmark (50%), Belgium (50%), France (51.7%) and Norway (59.7%). However, this is not an issue for Norway, as its net government debt is negative (its financial assets, thanks to its massive oil fund, exceed its liabilities). In the Anglo-Saxon countries and Japan, the percentage is around 40% or less. These countries still have some room to increase government revenues.

- Increase in the dependency ratio: The more people paying taxes, the more sustainable the social security system. However, the dependency ratio — the proportion of people aged 0–25 and 65+ compared to those aged 25–64 — is set to rise sharply in Europe in the coming decades, particularly in Southern European countries. Spain is the negative outlier, with an expected increase of 52% by 2050. In Italy and Portugal, the increase will be 41.4% and 37.5% respectively. The countries faring best are the Anglo-Saxon countries, where ageing is less rapid, and most Scandinavian countries.

- Share of public pensions in total pensions: The rising dependency ratio is making it increasingly difficult to finance public pensions through social security contributions. Besides, in countries where the dependency ratio is rising most sharply, public pensions (i.e. old-age and survivors' pensions) account for 90% or more of total pension income. Such high dependence on public pensions makes altering these schemes politically very sensitive. Once again, Anglo-Saxon countries fare better thanks to their well-developed occupational pension systems. In the United Kingdom, this second pillar accounts for 28%; in Canada, the United States and Australia, the figures are 37.5%, 44.4% and 50.2%, respectively. On the European mainland, only the Netherlands (29.5%) has followed this example.

- Net present value of additional government spending on pensions and healthcare between 2024 and 2050: The United States stands out here. The net present value of additional social security spending over the period 2024–2050 would double US public debt without reforms. However, many European countries are also facing substantial increases in spending on pensions and healthcare.

Healthcare costs driving future spending

Notably, in three quarters of all countries, the majority of additional social security spending relates to healthcare. These costs are particularly difficult to contain. Since 2000, pension benefits have already been significantly adjusted in most countries. Older generations in Europe receive roughly twice as much in lifetime benefits as they contributed during their working lives. Reforms introduced after the 2008 Global Financial Crisis reduced the ratio of benefits to contributions for younger generations to around 1.5. This addressed roughly half of the problem. However, more recent reforms in many countries have once again pushed the bill higher.

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In summary, Southern European countries, as well as Belgium and France, stand out as those where public finances appear most vulnerable to population ageing. The main reasons are: high initial public debt levels, which limit future fiscal manoeuvring room, and an under-representation of complementary defined-contribution plan (pension funds, etc.) which means that the system relies heavily on public funds. It should be noted that some countries stand out positively thanks to a low net present value of uncovered social liabilities (pensions, healthcare). However, this criterion can be quite volatile depending on the discount rate used.

Koen De Leus

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DEMAND SHOULD CONTRIBUTE LESS TO INFLATION IN 2026 THAN IN 2022 IN THE EUROZONE AND THE UNITED STATES

Stéphane Colliac

Will a different situation lead to different outcomes? In other words, will the combination of weaker demand and more moderate supply constraints in 2026, as compared to 2022, help to limit the rise in inflation? Having illustrated the impact of the energy shock caused by the war in the Middle East on six key variables in the Eurozone (see here), we now move on to a new comparison between these two dates, this time focusing on the relative levels of supply and demand issues. In the Eurozone, weaker demand has resulted in a more pronounced decline in inflation, unlike in the United States, where both demand and inflation have remained more sustained. In both regions, business climate surveys have recently shown a deterioration in some supply-side indicators (input prices), while demand indicators have not weakened yet. This asymmetry is likely to push inflation upwards in the coming months, albeit to a lesser extent than in 2022.

In the Eurozone, demand constraints are limiting the production, but supply constraints remain significant

PERCENTAGE OF BUSINESSES FACING DEMAND OR SUPPLY FACTORS LIMITING THEIR PRODUCTION

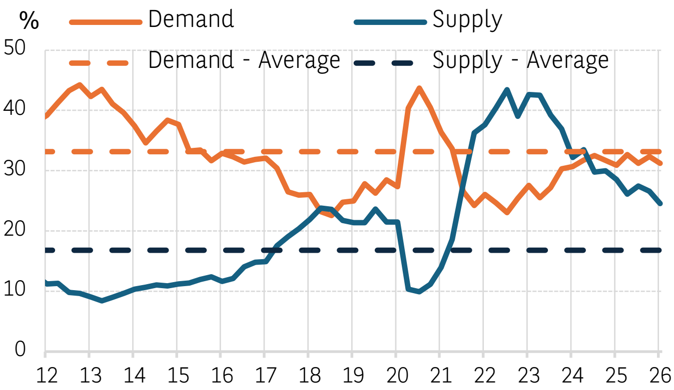

CHART 1

SOURCE: DG ECFIN, BNP PARIBAS

In the US, demand is contributing a bit more to inflation

DEMAND AND SUPPLY CONTRIBUTIONS TO PCE INFLATION

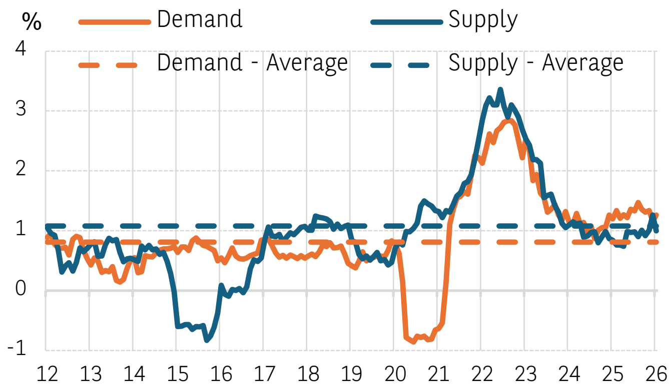

CHART 2

SOURCE: BEA, BNP PARIBAS

In the Eurozone, demand is exerting a downward pressure on inflation, unlike in 2022. The European Commission's survey shows to which extent supply constraints (such as shortages of inputs or labour, which drive inflation upwards) or demand constraints (which limit inflation) are affecting business output. The increase in supply constraints and the decrease in demand constraints, typical of the post-Covid period, were two factors that contributed to the acceleration of inflation at the time (10.6% y/y at its peak in October 2022). The level of these constraints in January 2026 allows for cautious optimism (*see Chart 1*). The lack of demand has exerted a greater influence than supply since mid-2024, while supply-side constraints have continued to ease. This trend has allowed inflation to return to the ECB's 2% target. However, it has not fallen below this target, as supply constraints, despite their reduction, remain significantly higher than the historical average. Furthermore, while harmonised inflation rose by 0.6 percentage points to 2.5% year-on-year in March (at this stage, only due to the rise in fuel prices), the conflict in Iran could well trigger a resurgence of these constraints, as indicated by the rise in input price indices in business climate surveys. These same surveys do not currently indicate that these pressures are being passed on to selling prices by the end of Q2, but this may occur in the longer term, which would then suggest a rebound in core inflation.

In the United States, demand plays a more significant role in inflation, but less so than in 2022. In the absence of a survey similar to that conducted by the European Commission, we use a different method to compare the impact of supply and demand (*see Chart 2*): we examine the direct contributions of supply and demand to inflation dynamics based on a breakdown between these two factors, as provided by the Bureau of Economic Analysis (using a methodology developed by A. Shapiro from the San Francisco Fed). Although significantly lower than in 2022, the contribution of supply to inflation is not negligible and plays roughly the same role as in 2018–19. These constraints even appear to have increased slightly since the Trump administration's tariff hikes and are likely to rise further with the recent rebound in input prices and delivery times. The contribution of demand to inflation continues to be more substantial, reflecting the resilience of consumption (and its post-Covid outperformance; see our analysis). However, this momentum has been moderating in recent months, against a backdrop of a deteriorating labour market.

Inflation is expected to rise due to increased supply constraints, before easing. In both regions, the war in Iran is likely to trigger a resurgence in supply constraints, although probably less than in 2022. Nevertheless, these constraints are expected to push inflation higher, while the negative effects of the conflict on demand would take longer to materialise, as would their disinflationary effects.

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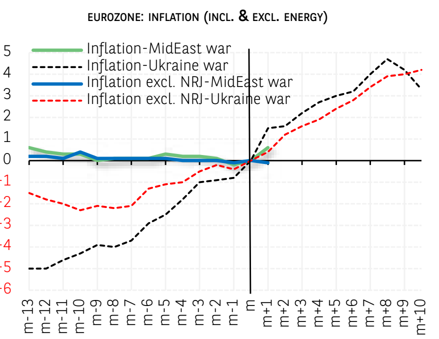
EUROZONE: SIX CHARTS COMPARING THE IMPACT OF THE 2026 ENERGY CRISIS WITH THAT OF 2022

Hélène Baudchon

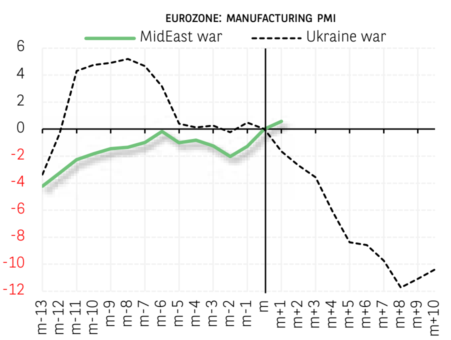
Will the same causes produce the same effects? In other words, will the outbreak of war in Iran and the associated surge in oil prices (+44% to date) and gas prices (+64%) lead to an inflationary shock[1] comparable to that of 2022? Will their negative effects on growth[2] be the same as those of the war in Ukraine and the ensuing energy shock (a rise in oil prices of around 30% between 23 February and its peak in early June 2022[3], and a rise in gas prices of around 210% between 23 February and the peak in late August 2022)? The risk cannot be ruled out. Indeed, there are similarities and numerous uncertainties.

Middle East war: a more limited impact, for now, on Eurozone inflation and confidence than at the onset of the Ukraine war

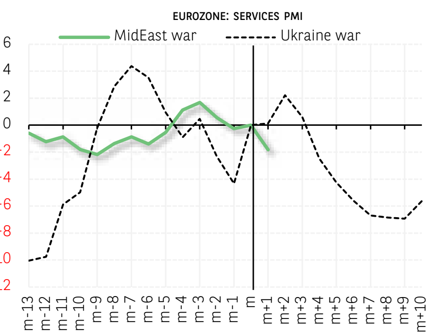
March 2026: a more limited inflation rebound



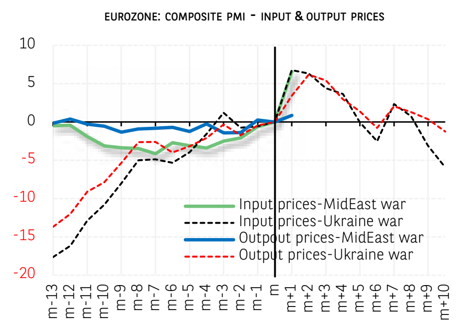
March 2026: business confidence in the manufacturing sector remains well oriented



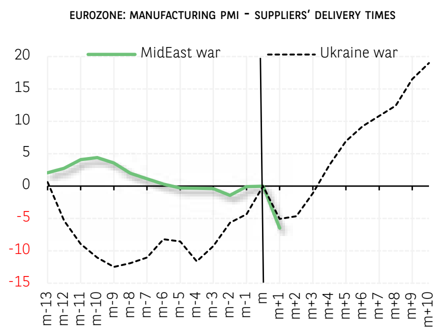
March 2026: business confidence in services on a downtrend



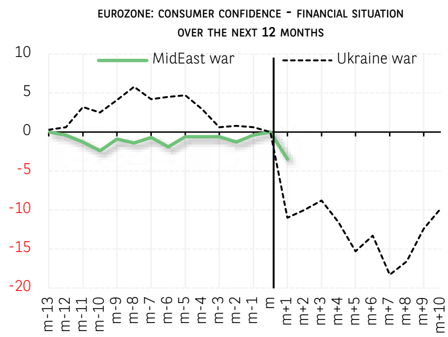
March 2026: input prices rose but not output prices



March 2026: delivery times eased



March 2026: consumer confidence less affected



Change since m = 0 = February 2026 / February 2022

SOURCE: EUROSTAT, EUROPEAN COMMISSION, MACROBOND, BNP PARIBAS

1 Headline inflation in the Eurozone soared by 11 percentage points (pp) between its low in December 2020 (-0.3% y/y) and its peak in October 2022 (10.6% y/y). The energy shock triggered by the outbreak of war in Ukraine amplified an inflationary surge that was already underway: between February and October 2022, the rise in headline inflation reached nearly 5 pp.
2 This is illustrated by the halt to growth in the Eurozone in late 2022 and early 2023. From an average quarterly rate of close to 1% (driven by the post-Covid rebound) in the first half of 2022, growth halved in Q3 2022 (+0.5%), before stalling in Q4 2022 and Q1 2023. This was followed by a year of sluggish growth (+0.15% q/q on average per quarter between Q2 2023 and Q2 2024).
3 The rise in oil prices began in April 2020 and was substantial. On 21 April, Brent fell to an exceptionally low level of USD 10 per barrel, meaning that between this low and the peak of around USD 120 per barrel reached in early June 2022, its price increased twelvefold.

At first glance, a shock less inflationary than in 2022. It is clear, however, that the economic context in which this new energy shock is unfolding is less inflationary than in 2022. At that time, economic activity was still benefiting from the post-Covid rebound. Strong demand was accompanied by numerous supply constraints due to severe disruptions and tensions in supply chains. Furthermore, energy inflation was compounded by food inflation. Today, the surge in inflation is likely to be less severe: demand is less robust and supply constraints have eased. Therefore, the conditions do not appear to be in place for a significant spillover of rising energy prices. But this will need to be monitored closely.

Moreover, central banks have learnt lessons from the inflationary shock of 2021–2023. They are ready to react more swiftly to counter any spillover, spiral and second-round effects between rising prices, inflation expectations and wages.

A muted impact so far. To date, the impact has remained contained within both the financial and real spheres. The limited and somewhat surprising reaction of financial markets does raise questions. Nevertheless, it constitutes a welcome, mitigating factor, preventing, for the time being, the energy shock from being exacerbated by a financial shock[4]. The first macroeconomic indicators available for March (survey data and flash inflation estimates) tell a reassuring story too: their reaction is also, for the most part, limited. This is good news, but in no way does it prejudge what will happen next. It is highly likely that the deterioration observed will continue: the question is by how much.

To track the effects of this new energy shock on activity and prices in the Eurozone, and also to see how closely the current situation resembles that of 2022, we have selected two measures of inflation (including and excluding energy) and six soft data:

- Business confidence, as measured by the PMI indices for business sentiment in the manufacturing and services sectors;
- The 'input prices' and 'output prices' components of the composite PMI (to identify direct inflationary pressures);
- The 'suppliers' delivery times' component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalances and, therefore, indirectly, of potential inflationary pressures at work);
- Household confidence, as reflected in its 'assessment of financial situation' component (to capture the effect on purchasing power).

The trend in each of these indicators is observed relative to month m=0, when the conflict began, more or less during the year that follows and the year that precedes it. We are interested in the variation in each of them as well as the broader trend within which it fits.

Less unfavorable developments in March 2026 than in March 2022. The charts speak for themselves: excluding energy, inflation has not (yet) budged, and last March, most of the surveys showed a less unfavorable reaction to that of March 2022. The improvement in the manufacturing PMI in March 2026 is one of the positive signals, as is the absence of a rise in the 'output price' component, and the fact that the deterioration in household sentiment regarding their financial situation was more limited than in March 2022. The easing of delivery times is also a positive sign, but these are likely to tighten again due to growing supply difficulties linked to the closure of the Strait of Hormuz. The deterioration in the services PMI is a black spot on the picture, as is the rise in input prices, which was of a similar magnitude in March 2026 to that of March 2022. The starting point is, however, much lower. Moreover, what matters most is the absence of – or limited – pass-through to output prices.

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4 For further details, see Isabelle Mateos y Lago's editorial in Ecoweek, Gulf War: Are Financial Markets Sleepwalking?, 30 March 2026.

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EcoFlash

Inflation in the Eurozone and France: the start of a rebound

Inflation in both the Eurozone and France is expected to return to levels not seen since the summer of 2024. In March, we forecast 2.6% y/y in the Eurozone (compared with 1.9% in February). In France, where inflation is starting from a much lower base (1.1% in February), it is expected to reach 1.7% y/y in March, rising to 2.1% in May. This rebound in inflation is attributable to the sharp increase in energy prices, which has not yet been passed on to core prices. Business surveys point to a rebound in input prices. However, they do not currently suggest an increase in selling prices in the second quarter, either in France or in the Eurozone. Nevertheless, a rebound in core inflation is expected from the second half of the year. This could prompt the ECB to begin monetary tightening from June (by a cumulative 75 basis points by the autumn, according to our forecasts).

Harmonised inflation in the Eurozone is expected to reach 2.6% y/y in March, according to our forecasts. This would represent a sharp rise compared with February (1.9% y/y). In monthly terms, the rise in consumer prices is expected to reach 1.4% m/m in March 2026, compared with 0.6% m/m in March 2025, a rise linked to the ongoing increase in fuel prices. The trend is expected to remain unchanged for other consumer items, which would represent a notable difference from March 2022. At that time, the inflationary spiral had already been underway since early 2021, and the Russian invasion of Ukraine had amplified it. Behind the 2.4% m/m rise in the CPI in March 2022, the jump in fuel prices had reached 19% m/m (a trend similar to that expected in March 2026). But food price inflation was also high and had already spread to the core rate (particularly goods prices). Nothing of the sort is expected in March 2026. Core inflation is, in fact, expected to remain stable at 2.4% y/y. All European countries are affected by the rise in Brent oil prices, as evidenced by the 0.8 percentage point acceleration in inflation in Germany (to 2.8% y/y) and in Spain (to 3.3% y/y) in March.

In France, similar trends are also expected. We forecast a rebound in harmonised inflation to 1.7% y/y (INSEE index at 1.6% y/y) compared with 1.1% in February (INSEE index at 1%). We estimate the rise in fuel prices at nearly 17% in March (similar to March 2022). However, inflation is lower in France than in the Eurozone. Furthermore, the rate of increase is expected to be lower than that seen in France in March 2022 (+1.6% m/m). However, with the recent rise in gas prices on the markets, the Energy Regulatory Commission has already indicated that the benchmark retail price for gas will rise by 15% in May, which, according to our forecasts, would push harmonised inflation in May above the 2% threshold (2.1% y/y). Core inflation (1.3% y/y in February), meanwhile, is expected to remain stable.

There is little risk of a rapid spillover to core inflation in the immediate term. The evolution of the conflict in Iran remains uncertain. However, surveys currently suggest that, excluding energy, price rises are likely to be limited until the end of the second quarter. In the Eurozone, the European Commission's survey indicates a balance of opinion on 3-month prices of +20 in industry (+6 m/m, but +57 in March 2022) and +20 in trade (+3 m/m, but +53 in March 2022). In France, the INSEE survey on the business climate in March suggests that the pass-through effect would first affect food prices, with a more limited risk for the time being than in 2022 (the balance of opinion on expected prices over the next three months stood at +8 in March 2026, compared with +42 in March 2022). Inflation on goods could also rebound slightly (balance of opinion at +9 in March 2026), but significantly less than in March 2022 (balance of opinion at +53), for reasons unrelated to the energy shock (rise in industrial input prices linked to increased production in defence, aerospace and AI).

The ECB is unlikely to be in a rush to act, but would do so swiftly if necessary. The course of the conflict in Iran will be decisive in determining whether hydrocarbon prices remain high for the long term. **We have drawn up various scenarios**. According to the most likely scenario at this stage, Brent would remain above USD 100/barrel until the end of Q2, with a prolonged blockade of the Strait of Hormuz and strikes on oil and gas facilities but without major damage (if the damage were to become more significant, the price of oil could rise well above the USD 100/b threshold). In this context, the rise in energy prices would continue. It would feed through more strongly to electricity prices (except in France, where the latter does not currently depend on gas prices) and would spread more rapidly to core inflation. Such an acceleration would likely force the ECB to tighten monetary conditions in the Eurozone, although the scale of the adjustment remains dependent on the uncertain evolution of the conflict in the Middle East, its impact on commodity and industrial goods prices, and second-round effects. Markets are currently pricing in three key rate hikes for 2026 of 25 basis points each: in June, July (as in our current scenario) and December (September in our scenario). The ECB will remain vigilant to ensure that tightening too late does not lead to an inflationary dynamic that is more difficult to reverse.

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